ENPR6305032

International Licensing, Franchising & Strategic Alliances

Sessions 1–14 · BINUS

SECONDBRAIN

CONTENTS

Walkthrough **4**

1 The shape of the course: four routes, two lanes 5

PART A · SESSIONS 1–2 · INTRODUCTION TO INTERNATIONAL MARKET ENTRY STRATEGIES

2 Why go abroad, and four ways to do it 9

3 Choosing a route: investment, control and risk 12

4 Direct versus indirect entry 15

PART B · SESSIONS 3–4 · FUNDAMENTALS OF LICENSING

5 What licensing is: definition and five types 20

6 The licensing agreement: eight core clauses, benefits and limits 23

7 Two licensing cases: Disney and ARM Holdings 26

PART C · SESSIONS 5–6 · STRATEGIC USE OF LICENSING

8 Strategic licensing: objectives, competitive uses and timing 31

9 Choosing a licensing partner and managing the risks 34

PART D · SESSIONS 7–8 · LEGAL AND ETHICAL ISSUES IN LICENSING

10 Why the law matters in licensing: four types of intellectual property 38

11 Intellectual property laws in the United States, Europe and worldwide 41

12 Legal clauses and ethical considerations in licensing 45

13 Case: Apple vs. Qualcomm, a patent licensing dispute 48

PART E · SESSIONS 9–10 · FUNDAMENTALS OF FRANCHISING

14 What franchising is: definition, characteristics and two types 52

15 Who's who in franchising: roles, duties and benefits 55

PART F · SESSIONS 11–12 · DEVELOPING AN INTERNATIONAL FRANCHISE

16 International franchise development: goals and four strategies 59

17 Master franchising versus area development 62

PART G · SESSIONS 13–14 · FRANCHISE AGREEMENTS AND LEGAL FRAMEWORKS

18 The franchise agreement: purpose and eight standard clauses 67

19 The franchise disclosure document and franchise laws by country 70

20 Legal risks in franchising and the Burgerim case 73

21 Analyzing a company's entry strategy: the assignment frameworks 76

Key lists and numbers 79

Companies and cases 82

Glossary of abbreviations 84

Textbooks 86

Flashcards **87**

Quiz **103**

Answers and explanations 117

Mock exam **122**

Model answers 124

ENPR6305032 · INTERNATIONAL LICENSING, FRANCHISING & STRATEGIC ALLIANCES · BINUS UNIVERSITY

Course walkthrough

This book covers all seven session decks of International Licensing, Franchising & Strategic Alliances (effective period 2025), Sessions 1–14: the four ways of entering a foreign market, then licensing from its basics through its strategic use to its legal and ethical side, then franchising from its basics through international development to franchise agreements and the laws behind them. The cases taught in class (Disney, ARM Holdings, Apple versus Qualcomm, Domino's India, 7-Eleven Thailand and Burgerim) sit in the chapters they illustrate. Strategic alliances appear in the Sessions 1–2 overview only, because no deck in the course folder treats them on their own. Every chapter is organized the same way: a four-step chain (problem, big idea, tools, result), a plain-words explanation, at least one figure, and then the details to memorize under subheadings. Tags such as "Sessions 3–4" give the class sessions a chapter draws on, and "CILO" stands for course intended learning outcome; the three CILOs are set out in the first chapter. Every abbreviation is spelled out the first time it appears in each chapter and is listed in the glossary at the back.

CHAPTER 1 · START HERE · COURSE MAP

The shape of the course: four routes, two lanes

PROBLEM
Fourteen sessions of slides cover many lists, tables and cases, from entry strategies to franchise disclosure rules.

→

BIG IDEA
The course opens with four ways to enter a foreign market, then follows two of them, licensing and franchising, from their basics to their legal frameworks.

→

HOW (TOOLS)
Three course intended learning outcomes (CILOs), seven paired-session decks, two textbooks and a set of company cases.

→

RESULT
Each topic has a place in one of two parallel lanes, so related ideas (such as licensing clauses and franchise clauses) can be found and compared.

IN PLAIN WORDS

International Licensing, Franchising & Strategic Alliances (course code ENPR6305032) is taught in fourteen sessions, two per deck. Sessions 1–2 set the scene. They ask why a company would enter international markets at all, and they lay out four ways of doing it: exporting, licensing, franchising and strategic alliances. They then compare the four on investment, control and risk, and separate direct entry, through the company's own operations, from indirect entry, through agents, distributors or partners.

The rest of the course runs in two lanes. The licensing lane takes Sessions 3–8. Sessions 3–4 explain what licensing is, its five types, the clauses of a licensing agreement and two cases, Disney and ARM Holdings. Sessions 5–6 treat licensing as a deliberate strategy: its objectives, its timing over a product's life cycle, the choice of partner and the management of risk. Sessions 7–8 turn to the legal and ethical side: the types of intellectual property (IP), the laws that protect it in the United States, the European Union and worldwide, the legal clauses of a licensing contract, ethics, and the Apple versus Qualcomm patent dispute.

The franchising lane takes Sessions 9–14 and follows the same order. Sessions 9–10 explain what franchising is, its two types and the roles of franchisor and franchisee. Sessions 11–12 show how a franchise is developed abroad through direct franchising, master franchising, area development or a joint venture. Sessions 13–14 cover the franchise agreement, the franchise disclosure document (FDD), legal frameworks in several countries and the Burgerim case. Strategic alliances, the

fourth route and part of the course title, are defined and compared in Sessions 1–2 but have no deck of their own in the course folder.

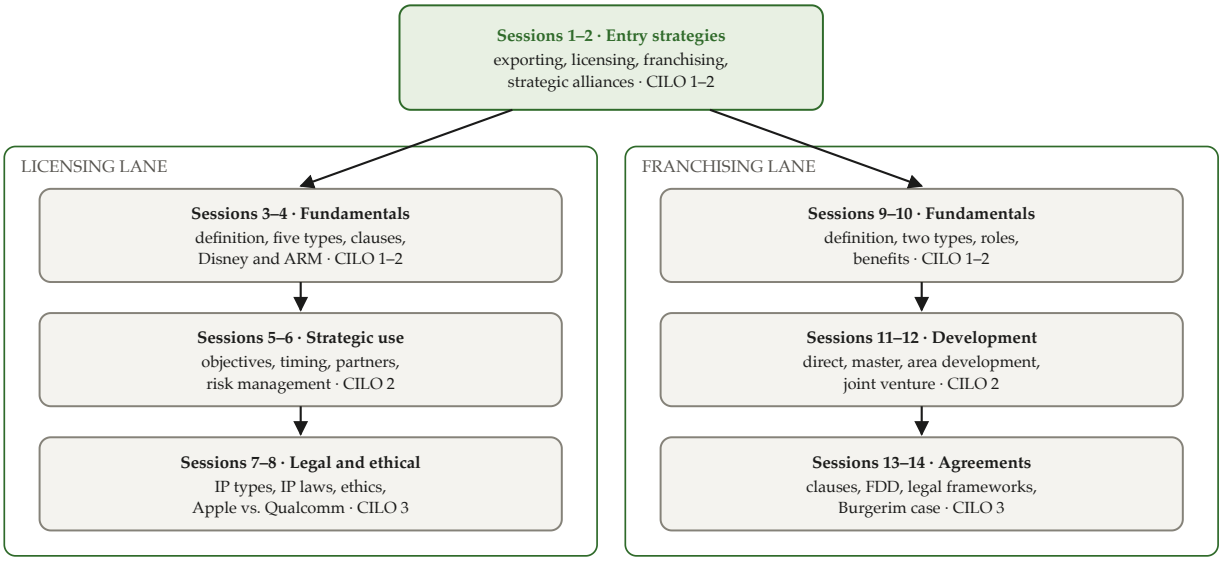


FIGURE 1.1 Sessions 1–2 set out four ways to enter a foreign market. The course then follows two of them in depth, licensing (Sessions 3–8) and franchising (Sessions 9–14). Each lane moves from basics to strategy to the legal framework, which is where CILO 3 comes in.

The three learning outcomes

- **CILO 1**: Define the foundational principles of international licensing, franchising, and strategic alliances. Named in Sessions 1–2, 3–4 and 9–10.
- **CILO 2**: Evaluate different market entry strategies and determine when licensing, franchising, or alliances are most appropriate. Named in Sessions 1–2, 3–4, 5–6, 9–10 and 11–12.
- **CILO 3**: Identify legal, financial, and operational factors affecting international business collaborations. Named in Sessions 7–8 and 13–14.

The seven decks at a glance

SESSIONS	DECK TITLE	CILO	TEXTBOOK CHAPTERS CITED (SHERMAN)
1–2	Introduction to International Market Entry Strategies	1, 2	Chapter 1
3–4	Fundamentals of Licensing	1, 2	Chapters 1, 2
5–6	Strategic Use of Licensing	2	Chapters 3, 4
7–8	Legal and Ethical Issues in Licensing	3	Chapters 5–9

9–10	Fundamentals of Franchising	1, 2	Chapters 1, 2
11–12	Developing an International Franchise	2	Chapter 11
13–14	Franchise Agreements and Legal Frameworks	3	Chapters 5–9

The two textbooks

- **Sherman (2011)**: Sherman, A. J. (2011). *Franchising & licensing: Two powerful ways to grow your business in any economy* (4th ed.). AMACOM/American Management Association. Every deck cites chapters of this book as its source.
- **Tjemkes, Vos and Burgers (2023)**: Tjemkes, B., Vos, P., & Burgers, K. (2023). *Strategic alliance management* (3rd ed.). Routledge. It is listed as a textbook on every deck but is not cited on any deck's sources slide.

Paired ideas across the two lanes

IDEA	LICENSING LANE	FRANCHISING LANE
Definition and types	five types of licensing	product and business format franchising
Who does what	benefits and limits for licensor and licensee	franchisor and franchisee roles
Strategy	strategic licensing	franchise development strategies
Contract clauses	legal clauses in licensing contracts	standard clauses in franchise agreements
Legal framework and case	Apple vs. Qualcomm	the Burgerim case

Link to next topic → The course begins where every international expansion begins: why a company goes abroad, and the four routes it can take.

PART A

SESSIONS 1–2 · INTRODUCTION TO INTERNATIONAL MARKET ENTRY STRATEGIES

CHAPTER 2 · SESSIONS 1–2 · CILO 1

Why go abroad, and four ways to do it

PROBLEM
A company that wants foreign customers must decide how it will reach them.

→

BIG IDEA
There are four main entry strategies: exporting, licensing, franchising and strategic alliances, each with its own advantages and challenges.

→

HOW (TOOLS)
A definition, the advantages and the challenges of each strategy.

→

RESULT
The company can match a strategy to what it wants from the foreign market and what it is willing to give up.

IN PLAIN WORDS

The course starts with the reasons for entering international markets. Sessions 1–2 give four: to **access new customers**, to **increase revenue**, to **gain competitive advantage**, and to **spread risk across markets**. The last reason is worth noticing, because it shows that going abroad is not only about growth: a company selling in several markets is less exposed to trouble in any one of them.

The slides then set out four entry strategies. **Exporting** means selling domestic products abroad, either directly, with the company handling it, or indirectly, through intermediaries. **Licensing** means permitting a foreign company to use your intellectual property (IP). **Franchising** means letting a foreign party run a business under your system and brand. A **strategic alliance** is a collaboration between two or more firms to pursue mutual goals while remaining independent.

Each strategy brings its own advantages and its own challenges, and the pattern is easy to follow once the definitions are clear. Exporting keeps the business at home, so it is low risk and easy, but the company has limited control abroad and faces trade barriers. Licensing hands over only the IP, so it is low cost and fast, but control is lost and the IP may be misused. Franchising hands over the whole system, so it is scalable and draws on local knowledge, but the franchisor must keep franchisee quality under control and comes to depend on its franchisees. An alliance shares the effort, so cost and risk are shared and the partner brings local market expertise, but coordination is complex and conflict is possible.

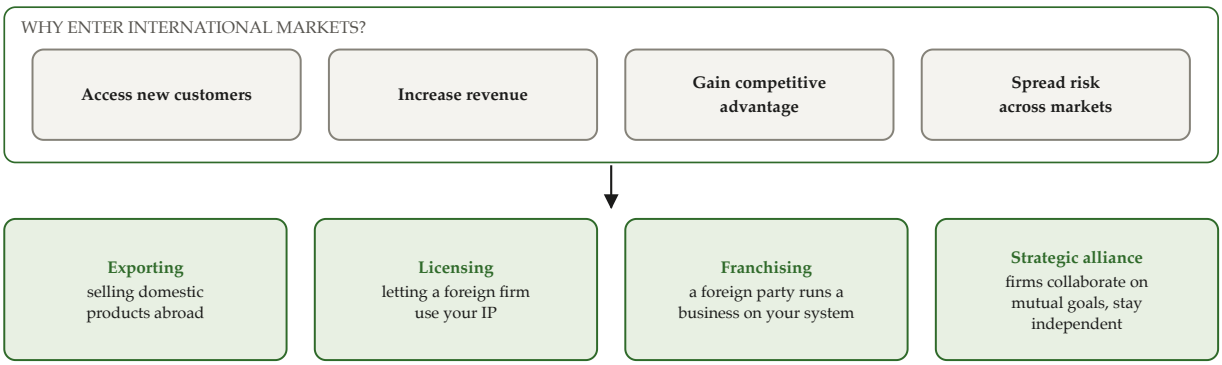


FIGURE 2.1 The four motives on top explain why a firm goes abroad; the four boxes below are the routes the course compares. Licensing and franchising both lend something the firm owns (its intellectual property, or its whole system and brand) to a foreign party.

Why enter international markets?

1. **Access new customers**
2. **Increase revenue**
3. **Gain competitive advantage**
4. **Spread risk across markets**

The four entry strategies

STRATEGY	DEFINITION	ADVANTAGES	CHALLENGES
Exporting	Selling domestic products abroad	Low risk, easy entry	Limited control, trade barriers
Licensing	Permitting a foreign company to use your intellectual property	Low cost, fast expansion	Loss of control, potential IP misuse
Franchising	Letting a foreign party run a business under your system and brand	Scalable, uses local knowledge	Franchisee quality control, dependency
Strategic alliances	Collaboration between two or more firms to pursue mutual goals while remaining independent	Shared cost and risk, access to local market expertise	Complex coordination, possible conflict

Two kinds of exporting

Direct exporting	Indirect exporting
The company handles exporting itself.	The company exports by using intermediaries.

Link to next topic → Sessions 1–2 go on to compare the four strategies side by side on investment, control and risk, and to name the situation each one suits best.

CHECK YOURSELF

Answer from memory, then check below.

1. **How do the slides define a strategic alliance?**
   - A. Letting a foreign party run a business under your system and brand
   - B. Permitting a foreign company to use your intellectual property
   - C. Collaboration between two or more firms to pursue mutual goals while remaining independent
   - D. Merging two firms into one company to share markets
2. **Which pair lists the challenges of franchising given in Sessions 1–2?**
   - A. Loss of control and potential IP misuse
   - B. Franchisee quality control and dependency
   - C. Limited control and trade barriers
   - D. Complex coordination and possible conflict
3. RECALL **Exporting: definition, advantages, challenges**

Answers 1. C **2.** B **3.** Selling domestic products abroad. Advantages: low risk, easy entry. Challenges: limited control, trade barriers.

CHAPTER 3 · SESSIONS 1–2 · CILO 2

Choosing a route: investment, control and risk

PROBLEM
The four entry strategies all lead abroad, but they ask for very different commitments.

→

BIG IDEA
Compare them on three criteria (investment, control and risk) and on the use case each suits best.

→

HOW (TOOLS)
The strategy comparison table and a company example for each strategy.

→

RESULT
A clear picture of when each route is the natural choice, such as exporting to test demand or franchising to scale a service business.

IN PLAIN WORDS

Once the four strategies are defined, Sessions 1–2 put them in one table. **Investment** is low for exporting and licensing, medium for franchising and medium to high for a strategic alliance. **Control** is low for exporting and licensing, medium for franchising and shared in an alliance. **Risk** is low for exporting and medium for the other three. The table then names a best use case for each: exporting for testing foreign demand, licensing for entering intellectual property (IP)-intensive industries, franchising for service businesses seeking global scale, and alliances for complex markets requiring local support.

Read this way, the table is a guide to fit. A company that is not yet sure foreign customers want its product can export first, because exporting asks for little investment and carries low risk. A company whose value lies in IP, such as characters or technology, can license it. A service business that wants to grow across many countries can franchise its system. A company facing a complex market where it needs a local partner's support can form an alliance and share control with that partner.

The slides give a well-known example of each. Indomie exports instant noodles from Indonesia to more than 80 countries without local factories. Disney licenses its characters to global partners for merchandise production. McDonald's operates globally through franchisees under standard systems. Starbucks formed an alliance with Tata to enter the Indian market, with Tata handling sourcing and operations.

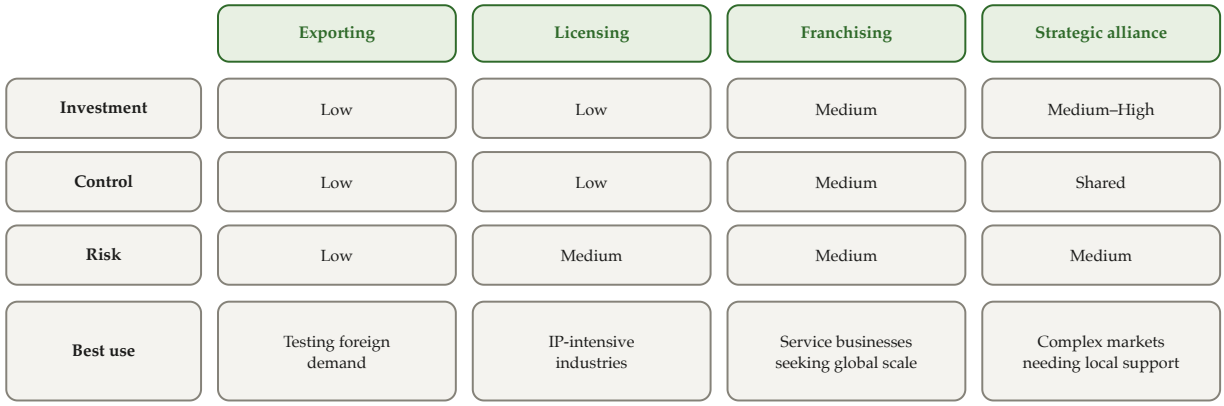


FIGURE 3.1 The strategy comparison table from Sessions 1–2 as a grid. Read it column by column: investment rises from low for exporting and licensing to medium–high for alliances, and none of the four is rated high on control.

Strategy comparison table

STRATEGY	INVESTMENT	CONTROL	RISK	BEST USE CASE
Exporting	Low	Low	Low	Testing foreign demand
Licensing	Low	Low	Medium	Entering IP-intensive industries
Franchising	Medium	Medium	Medium	Service businesses seeking global scale
Strategic alliance	Medium–High	Shared	Medium	Complex markets requiring local support

Company examples

ENTRY STRATEGY	COMPANY EXAMPLE	DESCRIPTION
Exporting	Indomie	Exports instant noodles from Indonesia to 80+ countries without local factories
Licensing	Disney	Licenses characters to global partners for merchandise production
Franchising	McDonald's	Operates globally via franchisees under standard systems
Strategic alliance	Starbucks + Tata	Formed alliance to enter Indian market; Tata handles sourcing and operations

Points to keep apart

- **Exporting versus licensing**: both need low investment and give low control, but exporting is rated low risk and licensing medium risk.

- **Franchising versus strategic alliance**: franchising gives the franchisor medium control; in an alliance control is shared between partners, and investment can rise to medium–high.

Link to next topic → The same deck adds a second way of classifying entry: whether the company goes in directly with its own operations or indirectly through others.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the comparison table, control in a strategic alliance is rated**
   - A. Low
   - B. Shared
   - C. Medium
   - D. High
2. **Which company is the slides' example of a strategic alliance used to enter India?**
   - A. Starbucks + Tata
   - B. Indomie
   - C. McDonald's
   - D. Disney
3. RECALL **Best use case of each entry strategy**

Answers 1. B **2.** A **3.** Exporting: testing foreign demand. Licensing: entering IP-intensive industries. Franchising: service businesses seeking global scale. Strategic alliance: complex markets requiring local support.

CHAPTER 4 · SESSIONS 1–2 · CILO 2

Direct versus indirect entry

PROBLEM
Whatever the strategy, a company must decide whether to run its foreign presence itself or work through others.

→

BIG IDEA
Direct entry uses the company's own subsidiaries and branches; indirect entry uses agents, distributors or partners.

→

HOW (TOOLS)
A comparison on five criteria (control, cost, speed, market knowledge, risk) and a list of advantages and disadvantages.

→

RESULT
The trade-off is plain: direct entry buys control and insight at a high price, indirect entry buys speed and low cost at the price of control.

IN PLAIN WORDS

Direct entry means the company enters through its own subsidiaries or local branches. **Indirect entry** means it enters through agents, distributors or partners. The slides illustrate the difference with Starbucks opening its own stores (direct) and local distributors selling a domestic product overseas (indirect).

Each criterion in the comparison follows from who owns the operation. Because a company entering directly owns its operations and makes its own decisions, its control is high; because it has to set them up and run them, its cost is high and its entry is slower, since a physical presence must be established. It also gains high market knowledge, with direct access to consumers and their insights, but it bears higher risk, with full exposure to local challenges.

Indirect entry reverses each of these. Control is low because agents or partners do the work. Cost is low and entry is faster, because the company leverages networks that already exist. Market knowledge is low, because what the company learns is filtered through intermediaries. Risk is lower, because it is shared with or passed to partners. The advantages and disadvantages listed on the slides are the same trade-off seen from each side.

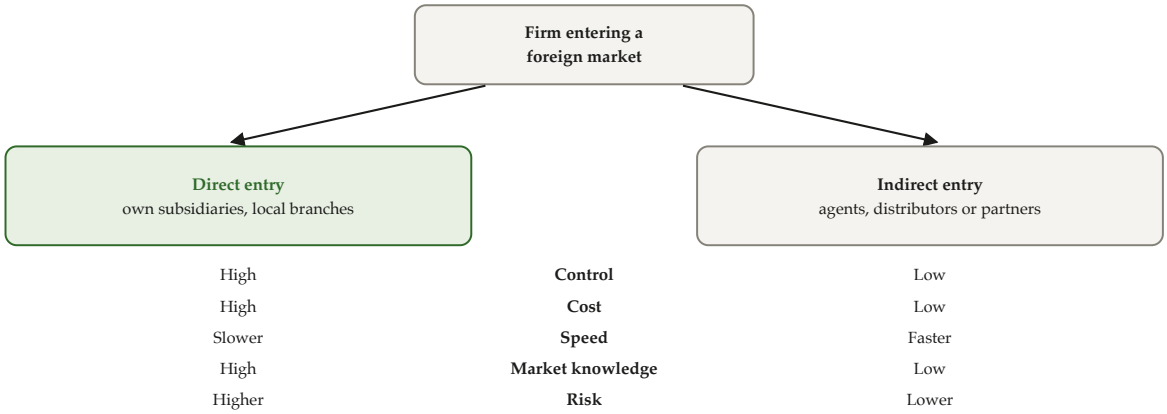


FIGURE 4.1 Direct entry trades money and time for control and first-hand market knowledge; indirect entry trades control and insight for low cost, speed and shared risk. The middle column names the five criteria the slides compare.

Comparison table

CRITERIA	DIRECT ENTRY	INDIRECT ENTRY
Control	High: own operations and decision-making	Low: use agents or partners
Cost	High: setup and operational investment	Low: minimal investment
Speed	Slower: requires physical establishment	Faster: leverage existing networks
Market knowledge	High: direct access to consumers and insights	Low: filtered through intermediaries
Risk	Higher: full exposure to local challenges	Lower: risk is shared or passed to partners
Example	Starbucks opening its own stores	Local distributors selling a domestic product overseas

Advantages and disadvantages

Direct entry

- **Advantage**: high control over operations and branding
- **Advantage**: strong market presence
- **Advantage**: direct customer feedback and insight
- **Disadvantage**: high setup and operational cost
- **Disadvantage**: slower to enter market
- **Disadvantage**: full exposure to local risks

Indirect entry

- **Advantage**: low investment cost
- **Advantage**: faster market access
- **Advantage**: lower operational risk (shared with partner)
- **Disadvantage**: low control over branding and customer experience
- **Disadvantage**: limited market insight
- **Disadvantage**: reliance on third parties

The Sessions 1–2 assignment

Students choose two international companies that used different strategies to enter global markets, for example one using franchising and one using a strategic alliance. For each company they explain the strategy used, the reason for choosing it, its advantages and disadvantages in the context of the company, and its result or impact: whether it succeeded or failed, and why. The synthesis chapter sets this beside the course's other assignments.

Link to next topic → Of the four entry strategies, the course takes up licensing first: Sessions 3–4 define it and set out its types, clauses and cases.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which describes indirect entry?**
   - A. Opening own subsidiaries
   - B. Setting up local branches
   - C. Starbucks opening its own stores
   - D. Using agents, distributors or partners

2. **On the criterion of market knowledge, direct entry is rated high because it gives**
   A. direct access to consumers and insights
   B. access to existing networks
   C. risk shared with partners
   D. minimal investment

3. RECALL **Direct versus indirect entry on control and cost**

Answers 1. D **2.** A **3.** Control: direct high (own operations and decision-making), indirect low (agents or partners). Cost: direct high (setup and operational investment), indirect low (minimal investment).

PART B

SESSIONS 3–4 · FUNDAMENTALS OF LICENSING

CHAPTER 5 · SESSIONS 3–4 · CILO 1

What licensing is: definition and five types

PROBLEM
A firm owns valuable intellectual property but does not want to invest capital in every foreign market itself.

→

BIG IDEA
Licensing lets a foreign firm use that property under agreed conditions, governed by contract law and international intellectual property treaties.

→

HOW (TOOLS)
The definition, its legal form and strategic purpose, the industries that use it, and five types of licensing with examples.

→

RESULT
The owner of the intellectual property expands with low risk and no capital investment, and the licensee gains the right to use a brand, a design, a technology or content.

IN PLAIN WORDS

Sessions 3–4 define **licensing** as a business arrangement in which a **licensor**, the owner of the intellectual property (IP), permits a **licensee**, a foreign firm, to use its IP, such as a trademark, a brand or a technology, under agreed conditions. The licensor keeps ownership; what passes to the licensee is permission to use the IP within the conditions the two sides agree.

Three further points complete the definition. Its **legal form**: licensing is governed by contract law and by international IP treaties such as the TRIPS Agreement (Trade-Related Aspects of Intellectual Property Rights). Its **strategic purpose**: it allows expansion with low risk and no capital investment by the licensor, because the licensee does the producing and selling. And **who uses it**: licensing is common in the pharmaceuticals, fashion, media, technology and sports industries.

The slides then separate five types of licensing, which differ in what is licensed. In **product licensing** the licensee produces and sells a product based on the licensor's technology or design. In **brand or trademark licensing** the licensee uses a brand name or logo in marketing or packaging. In **technology licensing** the licensee may use proprietary software, hardware or patents. **Copyright licensing** covers content, images, books and music. **Merchandise licensing** means selling goods under another company's branding. Each type comes with a familiar example, listed below.

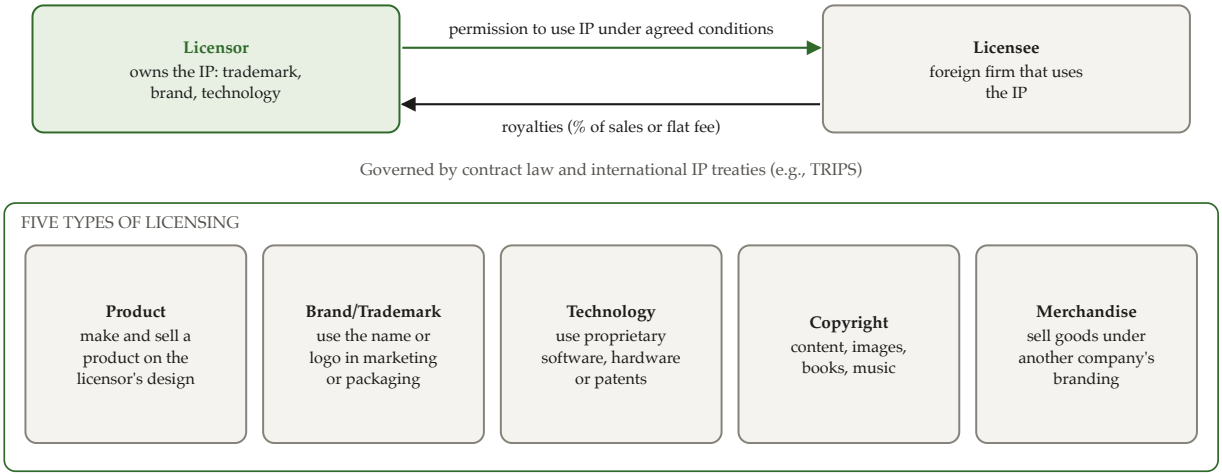


FIGURE 5.1 The licensor keeps ownership and grants use; the licensee pays for it. Below, the five types from the slides differ only in what is licensed: a product design, a brand, a technology, creative content or merchandise rights.

The definition in four parts

- **Definition**: a business arrangement where a licensor (IP owner) permits a licensee (foreign firm) to use its intellectual property (trademark, brand, technology) under agreed conditions.
- **Legal form**: governed by contract law and international IP treaties (e.g., the TRIPS Agreement).
- **Strategic purpose**: allows expansion with low risk and no capital investment by the licensor.
- **Who uses it**: common in pharmaceuticals, fashion, media, tech and sports industries.

Five types of licensing

TYPE	WHAT THE LICENSEE MAY DO	EXAMPLE ON THE SLIDES
Product licensing	Produce and sell a product based on the licensor's technology or design	Apple licensing Lightning connector technology
Brand/trademark licensing	Use the brand name or logo for marketing or packaging	McDonald's toys featuring Marvel characters
Technology licensing	Use proprietary software, hardware or patents	ARM Holdings licenses chip designs to Samsung
Copyright licensing	Use content, images, books, music and so on	Spotify licensing music from record labels

Merchandise licensing	Sell goods under another company's branding	FIFA (Fédération Internationale de Football Association) World Cup jerseys and merchandise

The two parties

Licensor	Licensee
The IP owner, who grants permission and receives royalties.	The foreign firm, which uses the IP under the agreed conditions and pays for it.

Link to next topic → The "agreed conditions" in the definition are written into a licensing agreement, whose core clauses Sessions 3–4 set out next, together with what each side gains and gives up.

CHECK YOURSELF

Answer from memory, then check below.

1. **In licensing, the licensor is**
   - A. the foreign firm that uses the IP
   - B. the government body that registers the IP
   - C. a distributor that resells the licensee's goods
   - D. the IP owner who permits another firm to use the IP
2. **Spotify licensing music from record labels is the slides' example of which type of licensing?**
   - A. Brand / trademark licensing
   - B. Copyright licensing
   - C. Merchandise licensing
   - D. Product licensing
3. RECALL **Licensing: definition (Sessions 3–4)**

Answers 1. D **2.** B **3.** A business arrangement where a licensor (IP owner) permits a licensee (foreign firm) to use its intellectual property (trademark, brand, technology) under agreed conditions.

CHAPTER 6 · SESSIONS 3–4 · CILO 1–2

The licensing agreement: eight core clauses, benefits and limits

PROBLEM
Permission to use intellectual property is only safe if both sides know exactly what is licensed, where, for how long and on what terms.

→

BIG IDEA
A licensing agreement fixes these terms in eight core clauses, and each side weighs what it gains against what it gives up.

→

HOW (TOOLS)
The core clauses table and the benefits and limitations of licensing for the licensor and for the licensee.

→

RESULT
A deal whose scope, payments, standards and exit are clear, entered with an honest view of its costs to each party.

IN PLAIN WORDS

Sessions 3–4 list eight **core clauses** in a licensing agreement. The first four fix the shape of the permission: the scope of the intellectual property (IP), the **IP scope**, defines what is being licensed, such as a trademark or a patent; the **territory** limits where it may be used, for example "license valid only in Southeast Asia"; **exclusivity** decides whether one or many licensees can use the IP in a region; and the **duration** sets the agreement period, for example three years, renewable.

The other four govern the relationship once it is running. **Royalty terms** settle the questions of payment the slides pose: a percentage of sales or a flat fee, monthly or annual reporting, and whether the licensor has audit rights. **Quality control** lets the licensor inspect operations to maintain its brand's reputation. **Termination** defines breach conditions, exit rights and dispute resolution. **Renewal and transferability** specify the renewal terms and whether the rights can be sold or transferred.

The benefits and limitations come from the same arrangement seen from each side. For the licensor, licensing gives quick market entry, low financial risk and revenue through royalties, but it limits control over operations and risks brand dilution. For the licensee, it gives access to a reputable brand or technology, a faster time to market and sometimes support from the licensor, but the licensee depends on the licensor's terms, and royalty costs may reduce its profit margin. The clauses are where these limits are managed: quality control answers the licensor's worry about its brand, and clear royalty terms answer the licensee's worry about cost.

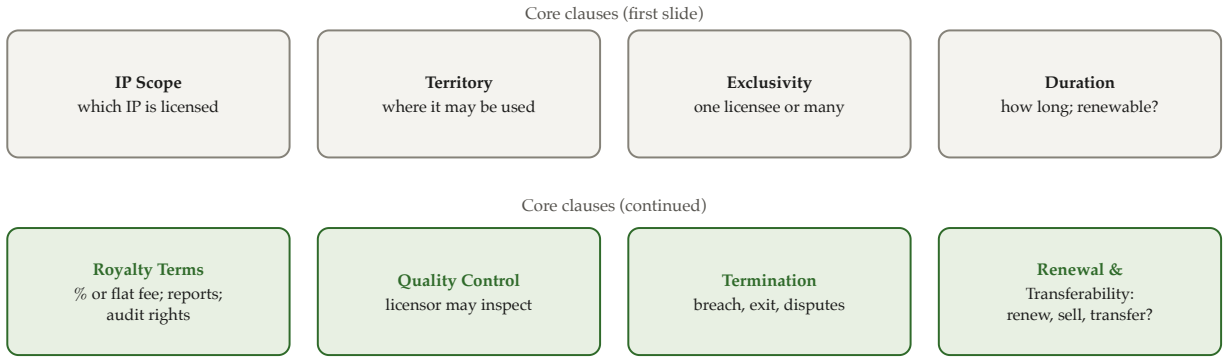


FIGURE 6.1 The first row fixes what is licensed, where, to how many partners and for how long. The second row covers payment, brand standards and how the deal ends, renews or passes to someone else.

Core clauses in a licensing agreement

CLAUSE	IMPORTANCE AND PURPOSE
IP Scope	Clearly defines what IP is being licensed (e.g., trademark, patent)
Territory	Limits geographical use (e.g., "license valid only in Southeast Asia")
Exclusivity	Determines if one or many licensees can use the IP in a region
Duration	Agreement period (e.g., 3 years, renewable)
Royalty Terms	% of sales or flat fee? Monthly/annual reporting? Audit rights?
Quality Control	Licensor may inspect operations to maintain brand reputation
Termination	Defines breach conditions, exit rights and dispute resolution
Renewal & Transferability	Specifies renewal terms and if rights can be sold or transferred

Benefits and limitations

For the licensor

- + Quick market entry
- + Low financial risk
- + Revenue via royalties
- – Limited control over operations
- – Risk of brand dilution

For the licensee

- + Access to reputable brand or tech
- + Faster time-to-market
- + Support from licensor (sometimes)
- – Dependent on licensor's terms
- – Royalty costs may reduce profit margin

Link to next topic → Sessions 3–4 close with two cases that show these clauses and benefits at work: Disney's brand licensing and ARM Holdings' technology licensing.

CHECK YOURSELF

Answer from memory, then check below.

1. Which is a benefit of licensing for the licensee?

A. Faster time-to-market
B. Revenue via royalties
C. Low financial risk from royalties received
D. Quick market entry without any payments

2. Which is a limitation of licensing for the licensor?

A. Royalty costs may reduce profit margin
B. Risk of brand dilution
C. Dependent on the licensor's terms
D. Slower time-to-market

3. RECALL **Limitations of licensing for the licensee**

Answers 1. A **2.** B **3.** Dependent on the licensor's terms; royalty costs may reduce profit margin.

CHAPTER 7 · SESSIONS 3–4 · CASES

Two licensing cases: Disney and ARM Holdings

PROBLEM
Producing every product or chip in-house would tie up capital and limit how far a brand or a design can reach.

→

BIG IDEA
License the intellectual property to others who make the products, and earn from what they sell.

→

HOW (TOOLS)
Disney's brand and merchandise licensing; ARM's technology licensing with upfront fees plus royalties per chip.

→

RESULT
Disney earns billions with minimal manufacturing risk; ARM became a global standard without owning factories.

IN PLAIN WORDS

The slides call Disney one of the most successful companies in the world at brand licensing. Rather than producing all its merchandise in-house, Disney licenses its characters, such as Mickey Mouse, Marvel heroes and Star Wars, to manufacturers worldwide. The licensees are toy companies and apparel producers such as Hasbro and LEGO, the scope is global, and royalties are based on product sales. The result, in the slides' words, is that licensing enabled Disney to generate billions in revenue with minimal manufacturing risk and expanded its reach into local markets through themed toys, school supplies and clothing, while Disney maintains strict quality and branding controls to protect its intellectual property (IP).

ARM Holdings, a company from the United Kingdom (UK), designs processor architectures used in smartphones, tablets and Internet of Things (IoT) devices. Rather than manufacturing chips, ARM licenses its IP to companies such as Apple, Qualcomm and Samsung; the licensing details also name Broadcom and MediaTek among its licensees, which are global technology manufacturers. The license covers worldwide use in chip design, and the revenue model combines upfront licensing fees with royalties per chip sold. The slides record three outcomes: ARM has become a global standard without owning factories, its architecture powers over 90% of smartphones globally, and its business model needs little capital while scaling highly.

Set side by side, the two cases show the two sides of licensing from the earlier chapters. Both licensors gain quick, low-risk reach and royalty revenue without making the goods themselves. Disney's case also shows how a licensor answers the risk of brand dilution: by keeping strict quality and branding controls, which is the quality control clause in action.

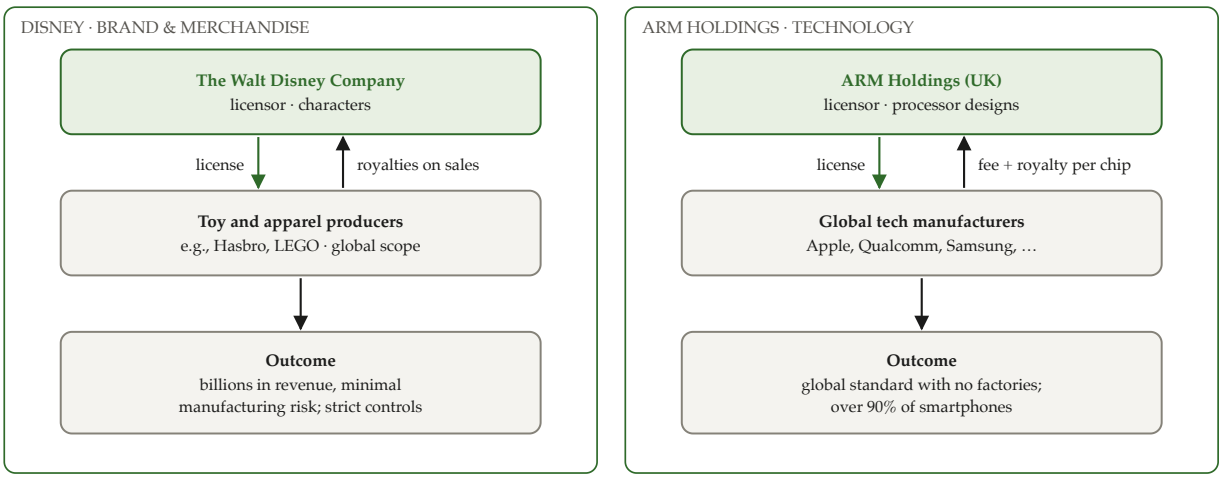


FIGURE 7.1 Both licensors own no production for the licensed goods: Disney does not make the merchandise and ARM does not make the chips. The difference is in what is licensed (characters versus designs) and in how the money flows back.

Case 1: Disney licensing strategy

- **Type**: brand and merchandise licensing
- **Licensor**: The Walt Disney Company
- **Licensees**: toy companies and apparel producers (e.g., Hasbro, LEGO)
- **Scope**: global
- **Royalties**: based on product sales

Strategic outcomes

- **Revenue**: enabled Disney to generate billions in revenue with minimal manufacturing risk.
- **Reach**: expanded Disney's reach into local markets (e.g., themed toys, school supplies, clothing).
- **Control**: maintains strict quality and branding controls to protect its IP.

Case 2: ARM Holdings (UK)

- **Type**: technology licensing
- **Licensor**: ARM Holdings
- **Licensees**: global tech manufacturers (Apple, Broadcom, MediaTek; elsewhere on the slides also Qualcomm and Samsung)
- **Scope**: worldwide use in chip design
- **Revenue model**: upfront licensing fees plus royalties per chip sold

Strategic outcomes

- **Standard**: ARM has become a global standard without owning factories.
- **Reach**: its architecture powers over 90% of smartphones globally.
- **Model**: low capital requirement, high scalability business model.

The Sessions 3–4 assignment

"Analyzing Real-World Licensing Strategies": students choose one company that uses licensing as a global expansion strategy and cover six parts: the company overview (name, industry, core products or services); the type of licensing used (product, brand, technology or other); licensing agreement highlights (key clauses such as territory, duration, royalty terms and exclusivity, with assumptions based on industry practice if the terms are not public); the strategic rationale (why licensing rather than franchising, exporting, a joint venture (JV) and so on); outcomes and challenges (success indicators such as sales growth and market penetration, and any legal or operational challenges); and the student's own insights on whether they agree with the strategy.

Link to next topic → Sessions 5–6 move from what licensing is to how it is used as a deliberate strategy: its objectives, its timing, the choice of partner and the risks to manage.

CHECK YOURSELF

Answer from memory, then check below.

1. Which outcome do the slides report for ARM?

A. It became the largest chip manufacturer by factory output
B. Its architecture powers over 90% of smartphones globally
C. It generated billions with minimal manufacturing risk from toys
D. It lost its licensees after a patent dispute

2. What is ARM Holdings' revenue model?

A. Selling chips it manufactures in its own factories
B. A flat annual fee per licensee only
C. Upfront licensing fees plus royalties per chip sold
D. Royalties on the full price of each smartphone

3. RECALL **Disney case: three strategic outcomes**

Answers 1. B **2.** C **3.** Generated billions in revenue with minimal manufacturing risk; expanded reach into local markets (themed toys, school supplies, clothing); maintains strict quality and branding controls to

protect its IP.

PART C

SESSIONS 5–6 · STRATEGIC USE OF LICENSING

CHAPTER 8 · SESSIONS 5–6 · CILO 2

Strategic licensing: objectives, competitive uses and timing

PROBLEM
A license signed only as a legal formality may earn some royalties but serve no wider purpose.

→

BIG IDEA
Strategic licensing uses licensing deliberately to reach long-term competitive or market objectives.

→

HOW (TOOLS)
Five strategic objectives, four competitive strategies, and the strategic use of licensing at each stage of the product life cycle.

→

RESULT
The firm knows why it licenses, how licensing helps it against competitors, and when in a product's life licensing works best.

IN PLAIN WORDS

Sessions 5–6 define **strategic licensing** as licensing used as a deliberate strategy to achieve long-term competitive or market objectives, not just as a legal agreement. It has three key characteristics: it is part of the market entry strategy, it focuses on leveraging the brand or intellectual property (IP), and it aims at long-term business alignment.

The slides give five **strategic objectives**. **Market entry** means entering new regions with minimal investment. **Revenue generation** means earning royalties from existing IP or assets. **Brand extension** means expanding global visibility through partners. **Resource leverage** means using a local partner's infrastructure and market knowledge. **Regulatory navigation** means entering markets that have trade or ownership restrictions. The first and last objectives both concern entry, but for different reasons: market entry is about keeping investment low, while regulatory navigation is about reaching markets that have trade or ownership restrictions.

Licensing can also be used as a **competitive strategy** in four ways: offensively, for first-mover advantage and brand dominance; defensively, to block competitors and saturate the market; through **cross-licensing**, to gain access to complementary technology or brands; and through **co-branding**, to enhance value perception and reach. Finally, the slides tie licensing to the **product life cycle**. At introduction, licensing gives fast market entry to build awareness; in growth, rapid scale-up through partners; at maturity, sustained revenue with low investment; and in decline, a way to maximize the remaining value through partners.

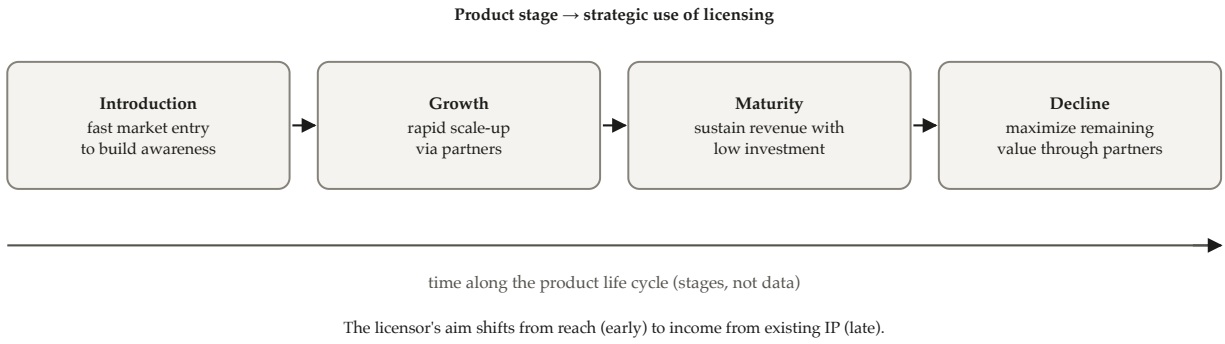


FIGURE 8.1 The slides' timing table drawn as a sequence. The boxes stand for stages, not measured data. Early on, licensing buys speed and reach; later, it keeps an asset earning with little new investment.

Key characteristics of strategic licensing

- **Market entry**: part of the market entry strategy
- **Leverage**: focus on brand/IP leverage
- **Alignment**: long-term business alignment

Strategic objectives of licensing

OBJECTIVE	DESCRIPTION
Market Entry	Enter new regions with minimal investment
Revenue Generation	Earn royalties from existing IP/assets
Brand Extension	Expand global visibility through partners
Resource Leverage	Use local partner's infrastructure and market knowledge
Regulatory Navigation	Enter markets with trade or ownership restrictions

Licensing as a competitive strategy

STRATEGY	AIM
Offensive strategy	First-mover advantage, brand dominance
Defensive strategy	Block competitors, saturate market
Cross-licensing	Access complementary technology or brand
Co-branding	Enhance value perception and reach

Timing and the product life cycle: when licensing is most effective

1 Introduction	2 Growth	3 Maturity	4 Decline
Fast market entry to build awareness	Rapid scale-up via partners	Sustain revenue with low investment	Maximize remaining value through partners

Link to next topic → Every one of these objectives depends on a partner, so Sessions 5–6 go on to how the right licensing partner is selected and how the risks of licensing are managed.

CHECK YOURSELF

Answer from memory, then check below.

1. **At which product life cycle stage is licensing used to 'sustain revenue with low investment'?**
   - A. Maturity
   - B. Introduction
   - C. Growth
   - D. Decline
2. **Which strategic objective means entering markets with trade or ownership restrictions?**
   - A. Resource leverage
   - B. Brand extension
   - C. Regulatory navigation
   - D. Market entry
3. RECALL **Licensing as a competitive strategy: the four uses**

Answers 1. A **2.** C **3.** Offensive (first-mover advantage, brand dominance); defensive (block competitors, saturate market); cross-licensing (access complementary technology or brand); co-branding (enhance value perception and reach).

CHAPTER 9 · SESSIONS 5–6 · CILO 2

Choosing a licensing partner and managing the risks

PROBLEM
A licensor hands its intellectual property (IP) to a partner it does not control, so the wrong partner can misuse the IP or damage the brand.

→

BIG IDEA
Select partners against clear criteria, and meet each licensing risk with a matching mitigation.

→

HOW (TOOLS)
Four partner criteria, two evaluation tools and a table of five risks with their mitigations.

→

RESULT
A partner who can carry the brand well, and an agreement with the safeguards to correct course if something goes wrong.

IN PLAIN WORDS

Sessions 5–6 give four **strategic partner criteria** for a licensing partner: market access and reputation; financial and operational capabilities; cultural and regulatory alignment; and a track record of compliance and performance. Each criterion answers a different worry. Market access and reputation tell the licensor whether the partner can reach customers in a way that suits the brand; capabilities tell it whether the partner can actually produce and sell; alignment tells it whether the partner fits the local culture and rules; and the track record shows whether the partner has kept its commitments before.

To apply these criteria the slides name two **evaluation tools**: a SWOT (strengths, weaknesses, opportunities, threats) or TOWS (threats, opportunities, weaknesses, strengths) analysis, and **partner scorecards**.

Even a well-chosen partner leaves risks, and the slides pair each with a **strategic mitigation**. IP misuse is met with strong legal agreements and monitoring. Reputation damage is met with partner vetting and brand guidelines. Quality control problems are met with clear standards and audits. Loss of market control is met with exclusivity terms and joint reviews. Legal and compliance risk is met with local legal counsel and jurisdiction clauses. Several of these mitigations are written into the licensing agreement itself, which links this chapter back to the core clauses of Sessions 3–4: quality control, exclusivity and termination with dispute resolution.

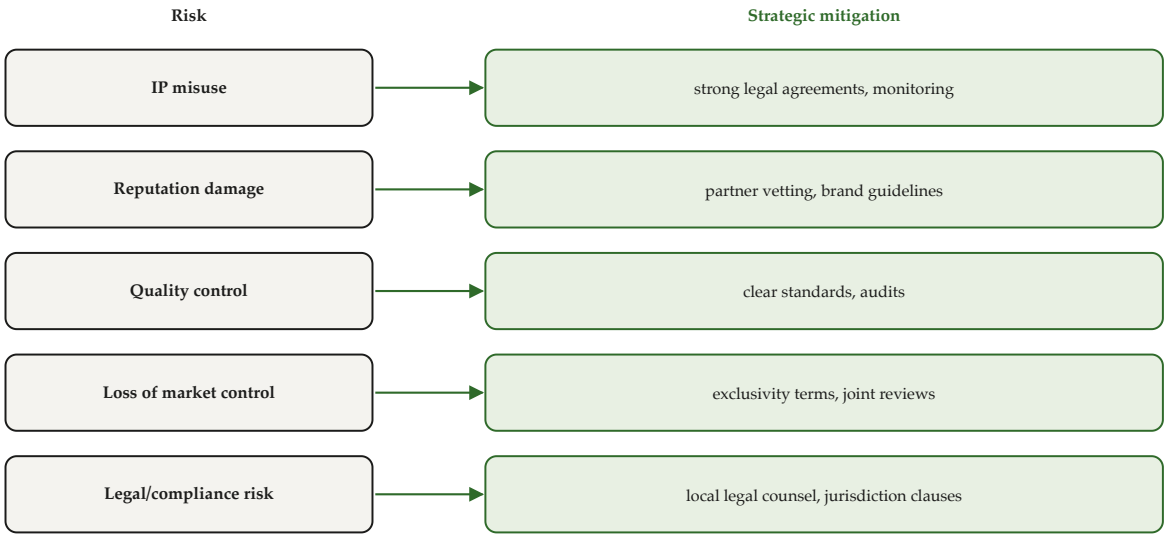


FIGURE 9.1 Each risk on the left has a matching answer on the right. Most answers are written into the agreement (legal terms, exclusivity, jurisdiction clauses) or carried out through checks on the partner (vetting, audits, joint reviews).

Selecting the right licensing partner

Strategic partner criteria

1. **Market access and reputation**
2. **Financial and operational capabilities**
3. **Cultural and regulatory alignment**
4. **Track record of compliance and performance**

Evaluation tools

- **SWOT or TOWS analysis**
- **Partner scorecards**

Strategic risk management in licensing

RISK	STRATEGIC MITIGATION
IP Misuse	Strong legal agreements, monitoring
Reputation Damage	Partner vetting, brand guidelines
Quality Control	Clear standards, audits
Loss of Market Control	Exclusivity terms, joint reviews
Legal/Compliance Risk	Local legal counsel, jurisdiction clauses

The Sessions 5–6 assignment

Students choose a global company that uses licensing and write a 300–500 word essay covering the strategic reason for using licensing, partner selection considerations, the risks faced and how they were managed, and whether the strategy was successful, and why or why not.

Link to next topic → The last mitigation, local legal counsel and jurisdiction clauses, leads into Sessions 7–8, which take up the legal and ethical issues of licensing in full.

CHECK YOURSELF

Answer from memory, then check below.

1. Which is one of the four strategic criteria for selecting a licensing partner?

A. Lowest royalty rate offered
B. Same home country as the licensor
C. Cultural and regulatory alignment
D. Willingness to buy the IP outright

2. What mitigation do the slides give for the risk of loss of market control?

A. Exclusivity terms, joint reviews
B. Clear standards, audits
C. Partner vetting, brand guidelines
D. Local legal counsel, jurisdiction clauses

3. RECALL **Four strategic criteria for a licensing partner**

Answers 1. C **2.** A **3.** Market access and reputation; financial and operational capabilities; cultural and regulatory alignment; track record of compliance and performance.

PART D

SESSIONS 7–8 · LEGAL AND ETHICAL ISSUES IN LICENSING

CHAPTER 10 · SESSIONS 7–8 · CILO 3

Why the law matters in licensing: four types of intellectual property

PROBLEM
A licensing deal crosses borders, but intellectual property laws differ from country to country.

→

BIG IDEA
Treat the licensing agreement as a legally binding contract, and know which type of intellectual property it covers.

→

HOW (TOOLS)
Four reasons legal and ethical issues matter, and the four types of intellectual property relevant in licensing: trademarks, patents, copyrights and trade secrets.

→

RESULT
Legal oversight that protects the brand and keeps the deal ethical, avoiding lawsuits, theft of intellectual property and reputation damage.

IN PLAIN WORDS

Sessions 7–8 open with four reasons why legal and ethical issues matter in licensing. Licensing agreements are legally binding contracts. Different countries have different intellectual property (IP) laws. Legal oversight ensures brand protection and ethical compliance. And failure to address these issues can result in lawsuits, IP theft or reputation damage. Taken in order, the four reasons form an argument: because the agreement binds both sides and the law changes at every border, legal oversight is what protects the brand, and its absence is what leads to the three harms in the last point.

Since a license is permission to use IP, the next step is to be clear about what kinds of IP can be licensed. The slides list four. **Trademarks** protect brand names, logos and slogans, such as the Nike logo or the Coca-Cola font. **Patents** protect inventions and technology, such as a smartphone chip design. **Copyrights** protect creative content, such as software code, books and music. **Trade secrets** are confidential business information, such as the Coca-Cola formula.

The examples show that one company can hold several types at once. Coca-Cola appears twice in the slides' table: its font is protected as a trademark, while its formula is kept as a trade secret, confidential business information. A licensing agreement therefore has to say exactly which of a company's IP it covers, which is the job of the IP scope or grant of rights clause.

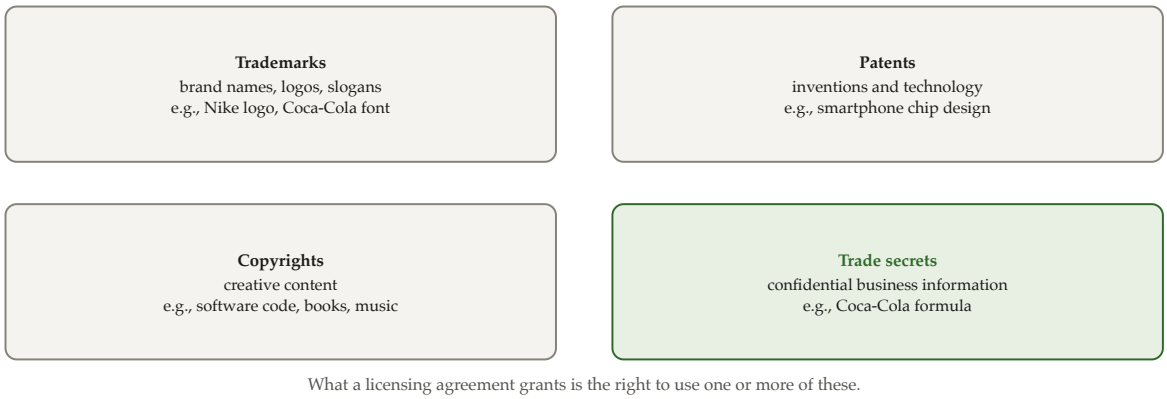


FIGURE 10.1 The four IP types from Sessions 7–8, with the slides' examples. Coca-Cola appears twice: its font is protected as a trademark, while its formula is kept as a trade secret.

Why legal and ethical issues matter

1. **Binding**: licensing agreements are legally binding contracts.
2. **Different laws**: different countries have different IP laws.
3. **Oversight**: legal oversight ensures brand protection and ethical compliance.
4. **Consequences**: failure to address these issues can result in lawsuits, IP theft or reputation damage.

Types of IP relevant in licensing

TYPE OF IP	DESCRIPTION	EXAMPLES
Trademarks	Protects brand names, logos, slogans	Nike logo, Coca-Cola font
Patents	Protects inventions and technology	Smartphone chip design
Copyrights	Protects creative content	Software code, books, music
Trade Secrets	Confidential business information	Coca-Cola formula

Link to next topic → Because different countries have different IP laws, Sessions 7–8 next map the main IP protection laws in the United States, the European Union and worldwide.

CHECK YOURSELF

Answer from memory, then check below.

1. The Coca-Cola formula is the slides' example of

A. a patent
B. a trade secret
C. a trademark
D. a copyright

2. Which type of IP protects brand names, logos and slogans?

A. Patents

B. Copyrights

C. Trademarks

D. Trade secrets

3. RECALL **Four reasons legal and ethical issues matter in licensing**

Answers 1. B **2.** C **3.** Licensing agreements are legally binding contracts; different countries have different IP laws; legal oversight ensures brand protection and ethical compliance; failure can result in lawsuits, IP theft or reputation damage.

CHAPTER 11 · SESSIONS 7–8 · CILO 3

Intellectual property laws in the United States, Europe and worldwide

PROBLEM
A licensor's intellectual property is protected differently in each region where it is licensed.

→

BIG IDEA
Know the key law and governing body in each region, and the international agreements that set common rules.

→

HOW (TOOLS)
Two United States laws, the European Union's directive and regulations, a global agreement under the World Trade Organization, and three further international instruments.

→

RESULT
The licensor can see which rules apply where and which issues the international regulations cover: scope, territory and duration, royalties, and disputes.

IN PLAIN WORDS

Sessions 7–8 give a global view of intellectual property (IP) protection laws in three regions. In the **United States of America (USA, also US)**, the **Lanham Act (1946)**, overseen by the United States Patent and Trademark Office (USPTO), enables trademark owners to sue for infringement and to protect themselves against unfair competition. The **Digital Millennium Copyright Act (DMCA, 1998)**, overseen by the US Copyright Office, protects digital content and service providers and allows copyright holders to issue takedown notices.

In the **European Union (EU)**, the **EU IP Directive and Regulations**, with the European Union Intellectual Property Office (EUIPO) as governing body, centralize IP protection through unitary systems, which reduces the need for multiple national filings. The slides add stronger data protection, design rights and enforcement mechanisms across member states.

At the **global** level, the **TRIPS Agreement** (Trade-Related Aspects of Intellectual Property Rights, dated 1994 in the slides' table) is governed by the World Trade Organization (WTO). It was part of the Uruguay Round of negotiations under the General Agreement on Tariffs and Trade (GATT) and became effective in 1995. It ensures that countries provide legal remedies for IP violations, maintain transparent procedures, and do not unfairly discriminate between foreign and domestic rights holders, and it includes flexibilities for developing countries, such as transition periods. Alongside TRIPS, the slides list the Berne Convention for copyright, the

Madrid Protocol for trademark registration and the World Intellectual Property Organization (WIPO) as key international instruments, and they name four issues these regulations cover: the scope of rights; territory and duration; royalties and payment terms; and the dispute resolution mechanism.

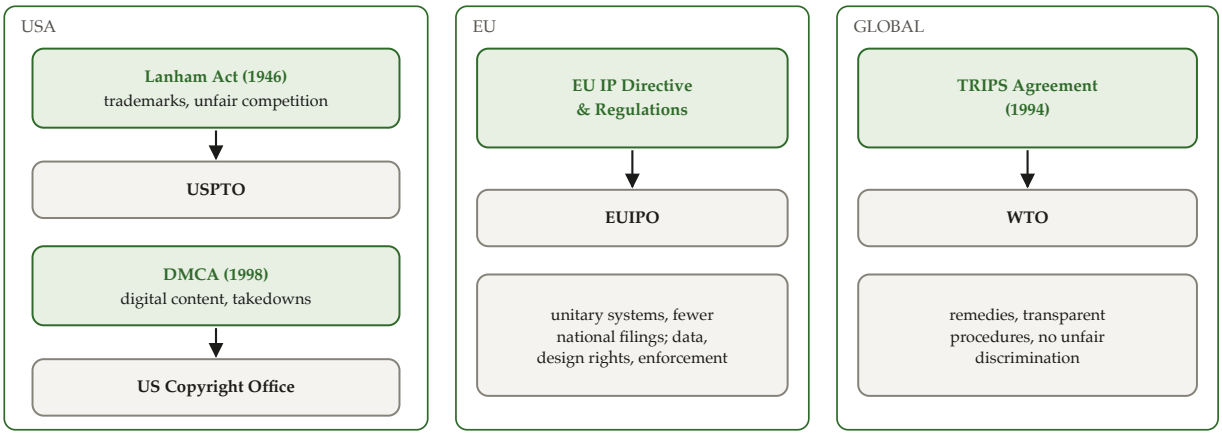


FIGURE 11.1 Each region pairs a law with the body that governs it. The United States has separate laws for trademarks and digital copyright; the EU centralizes protection; TRIPS sets minimum rules for WTO members worldwide.

IP protection laws (global view)

REGION	KEY IP LAW / AGREEMENT	GOVERNING BODY
USA	Lanham Act (1946)	USPTO (United States Patent and Trademark Office)
USA	DMCA (1998)	US Copyright Office
EU	EU IP Directive & Regulations	EUIPO (European Union Intellectual Property Office)
Global	TRIPS Agreement (1994)	WTO (World Trade Organization)

What each law does

- **Lanham Act**: enables trademark owners to sue for infringement and protect against unfair competition.
- **DMCA**: protects digital content and service providers, allowing copyright holders to issue takedown notices.
- **EU IP Directive**: centralizes IP protection through unitary systems, reducing the need for multiple national filings; stronger data protection, design rights and enforcement mechanisms across member states.

The TRIPS Agreement (WTO)

- **Origin**: part of the Uruguay Round of GATT negotiations; became effective in 1995.
- **Remedies**: countries must provide legal remedies for IP violations.
- **Transparency**: countries must maintain transparent procedures.
- **Non-discrimination**: countries must not unfairly discriminate between foreign and domestic rights holders.
- **Flexibilities**: includes flexibilities for developing countries (e.g., transition periods).

International licensing regulations

Key international agreements

- **TRIPS**: Trade-Related Aspects of IP Rights
- **Berne Convention**: copyright
- **Madrid Protocol**: trademark registration
- **WIPO**: World Intellectual Property Organization

Key issues regulated

- **Scope**: scope of rights
- **Territory**: territory and duration
- **Payment**: royalties and payment terms
- **Disputes**: dispute resolution mechanism

The Sessions 7–8 assignment

"Comparative Snapshot of Global Licensing Regulations": each group selects one country or region (for example Japan, India, China, Indonesia, Brazil, South Africa, the United Kingdom, Germany or South Korea) and presents four points on its group slide: the main types of IP protected; the main IP regulatory authority; one key rule or legal distinction that differs from or adds to the TRIPS Agreement or EU or US law; and an example of a licensing case in the country, if available.

Link to next topic → The four issues the international regulations cover reappear as clauses in the licensing contract itself, which Sessions 7–8 set out next together with the ethics of licensing.

CHECK YOURSELF

Answer from memory, then check below.

1. Which body governs the TRIPS Agreement?

A. WIPO
B. USPTO
C. EUIPO
D. WTO

2. What does the DMCA allow copyright holders to do?

A. Sue for trademark infringement
B. Register trademarks internationally
C. Issue takedown notices
D. File one unitary EU-wide patent

3. RECALL **EU IP law, its body and what it does**

Answers 1. D **2.** C **3.** EU IP Directive & Regulations; EUIPO. Centralizes IP protection through unitary systems (fewer national filings), with stronger data protection, design rights and enforcement across member states.

CHAPTER 12 · SESSIONS 7–8 · CILO 3

Legal clauses and ethical considerations in licensing

PROBLEM	BIG IDEA	HOW (TOOLS)	RESULT
A licensing contract can be legally sound yet still unfair, opaque or harmful to others.	Write six legal clauses that answer the key questions of the deal, and follow four ethical principles.	Grant of rights, territory and term, royalty, quality control, termination, and jurisdiction or dispute resolution clauses; a list of ethical issues and principles.	A contract that is clear about what, where, how much and which law, and a relationship that is fair, transparent and culturally sensitive.

IN PLAIN WORDS

Sessions 7–8 present the legal clauses of a licensing contract as a set of questions. The **grant of rights** answers what intellectual property (IP) is being licensed. **Territory and term** answer where and for how long. The **royalty clause** answers how payments will be made. **Quality control** answers how the brand is monitored. The **termination clause** sets the conditions for ending the contract. **Jurisdiction and dispute resolution** answer which country's law applies. The deck's opening point, that different countries have different IP laws, is what makes this last question necessary.

Law is not the whole story. The slides name four **ethical issues** in licensing: exploitative agreements with low-income countries; misuse of cultural property or indigenous brands; lack of transparency in royalty reporting; and licensing to partners involved in unethical labor practices. Against these they set four **principles to follow**: fairness, transparency, cultural sensitivity and legal integrity.

The deck sets the ethics slide directly after the legal clauses. The clauses settle what each party may do under the contract; the principles describe how the licensing relationship should be conducted. This matches the deck's opening point that legal oversight ensures both brand protection and ethical compliance, and that failure on either side can lead to lawsuits, IP theft or reputation damage.

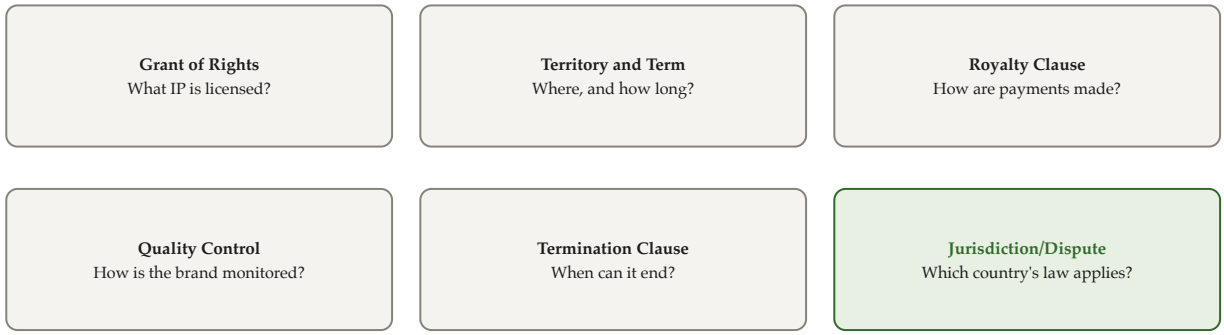


FIGURE 12.1 Each clause answers one question a court or partner might later ask. The last clause, jurisdiction and dispute resolution, matters most across borders, because IP laws differ from country to country.

Legal clauses in licensing contracts

CLAUSE	QUESTION IT ANSWERS
Grant of Rights	What IP is being licensed?
Territory and Term	Where and for how long?
Royalty Clause	How will payments be made?
Quality Control	How is the brand monitored?
Termination Clause	Conditions for ending the contract
Jurisdiction/Dispute Resolution	Which country's law applies?

Ethical considerations in licensing

Ethical issues

- **Exploitation**: exploitative agreements with low-income countries
- **Cultural misuse**: misuse of cultural property or indigenous brands
- **Opacity**: lack of transparency in royalty reporting
- **Labor**: licensing to partners involved in unethical labor practices

Principles to follow

Fairness, transparency, cultural sensitivity, legal integrity.

Clauses in two decks

Sessions 3–4 list eight core clauses (IP Scope, Territory, Exclusivity, Duration, Royalty Terms, Quality Control, Termination, Renewal & Transferability) and Sessions 7–8 list six legal clauses (Grant of Rights, Territory and Term, Royalty Clause, Quality Control, Termination Clause, Jurisdiction/Dispute Resolution). Each list should be learned in its own form, as the deck gives it; the core clauses are in the licensing agreement chapter.

Link to next topic → Sessions 7–8 end with a case in which licensing terms led to lawsuits in several countries: the patent dispute between Apple and Qualcomm.

CHECK YOURSELF

Answer from memory, then check below.

1. Which is listed as an ethical issue in licensing?

A. Charging royalties at all
B. Licensing to more than one partner
C. Lack of transparency in royalty reporting
D. Using contract law for agreements

2. Which is NOT one of the four ethical principles to follow in licensing?

A. Fairness
B. Exclusivity
C. Cultural sensitivity
D. Legal integrity

3. RECALL **The four ethical issues in licensing**

Answers 1. C **2.** B **3.** Exploitative agreements with low-income countries; misuse of cultural property or indigenous brands; lack of transparency in royalty reporting; licensing to partners involved in unethical labor practices.

CHAPTER 13 · SESSIONS 7–8 · CASE

Case: Apple vs. Qualcomm, a patent licensing dispute

PROBLEM
Apple and Qualcomm disagreed over patent licensing fees for chips used in iPhones.

→

BIG IDEA
Licensing terms on standard-essential patents must be clear and fair, or they invite litigation across many jurisdictions.

→

HOW (TOOLS)
The background, the legal actions, the April 2019 settlement and four lessons learned.

→

RESULT
After two years of legal battles the companies settled out of court, with a payment, a new licensing agreement and resumed chip supply.

IN PLAIN WORDS

Qualcomm is a leading chipmaker that holds key **standard-essential patents (SEPs)** for mobile communication technologies such as fourth-generation (4G) Long-Term Evolution (LTE). Apple used Qualcomm's chips in iPhones but argued that Qualcomm's licensing model was unfair. Qualcomm charged royalties based on the full price of the device, not just on the value of the chip, which Apple claimed was excessive. Apple also accused Qualcomm of anti-competitive practices and of **double-dipping**: charging both for chips and for licenses.

The dispute spread across borders. Apple filed lawsuits in the United States, China, Germany and other countries challenging Qualcomm's practices. Qualcomm counter-sued for patent infringement and demanded product bans, and courts in China and Germany temporarily banned the sale of certain iPhone models because of patent violations. Antitrust regulators in several jurisdictions also investigated, including the United States Federal Trade Commission (FTC), the European Union (EU) and Korea.

In April 2019, after two years of legal battles, Apple and Qualcomm settled out of court. Apple agreed to pay Qualcomm an undisclosed sum, estimated at 4.5 to 6 billion United States (US) dollars; the two signed a new six-year licensing agreement with an optional two-year extension; and Qualcomm resumed supplying chips for iPhones. The slides draw four lessons, listed below, which tie the case back to the chapter's themes: clear licensing terms, careful valuation of intellectual property (IP), awareness that IP law varies by country, and the strategic value of settling.

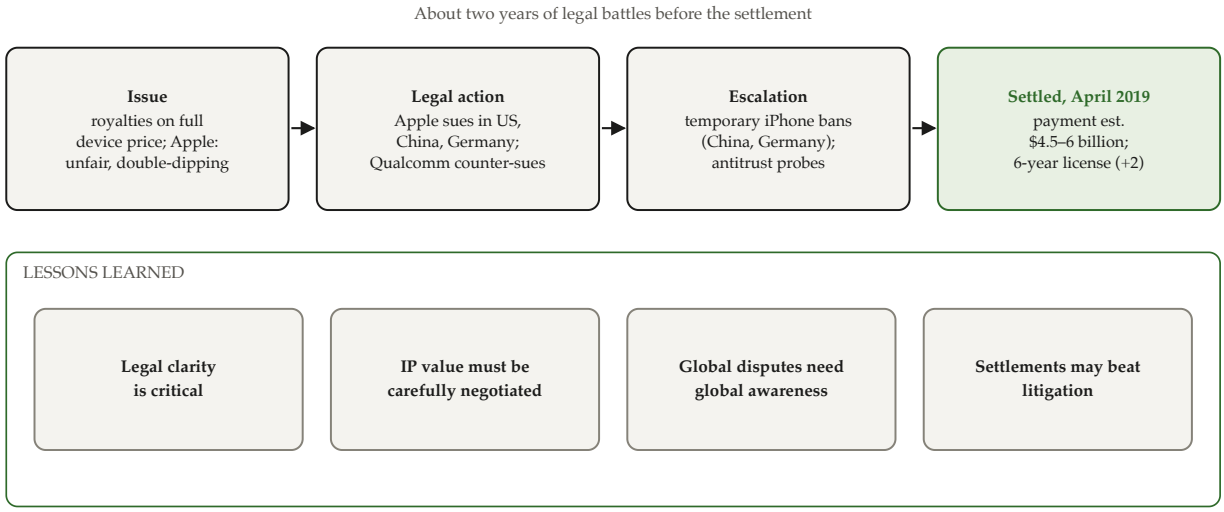


FIGURE 13.1 The dispute ran from a disagreement over how royalties were calculated, through lawsuits and sales bans in several countries, to an out-of-court settlement. The four lessons below are the slides' own.

Issue: disagreement on patent licensing fees

- **Qualcomm**: a leading chipmaker holding key SEPs for mobile communication technologies (like 4G LTE).
- **Apple's complaint**: Qualcomm's licensing model was unfair; royalties were charged on the full price of the device, not just the value of the chip.
- **Accusations**: anti-competitive practices and double-dipping (charging both for chips and licenses).

Legal actions taken

1 **Apple sues** Lawsuits in the United States, China, Germany and other countries challenging Qualcomm's practices	2 **Qualcomm counter-sues** For patent infringement, demanding product bans	3 **Sales bans** Courts in China and Germany temporarily banned the sale of certain iPhone models due to patent violations	4 **Regulators** Antitrust investigations in multiple jurisdictions (US FTC, EU, Korea)

Outcome: settlement (April 2019)

- **Payment**: Apple agreed to pay Qualcomm an undisclosed sum (estimated at $4.5–$6 billion).
- **License**: a new six-year licensing agreement (with an optional two-year extension).
- **Supply**: Qualcomm resumed supplying chips for iPhones.

Lessons learned

KEY INSIGHT	EXPLANATION
Legal clarity is critical	Ambiguous or overly aggressive licensing terms can result in multi-billion-dollar litigation.
IP value must be carefully negotiated	Especially with standard-essential patents, fair and transparent licensing terms are crucial.
Global disputes need global awareness	IP laws vary by country; what is enforceable in one jurisdiction may be banned in another.
Settlements may be more strategic than litigation	Prolonged lawsuits can damage both financials and business operations.

Link to next topic → With Sessions 7–8 the licensing lane is complete. Sessions 9–10 open the franchising lane with its definition, types and roles.

CHECK YOURSELF

Answer from memory, then check below.

1. Which was a term of the April 2019 settlement?

A. Qualcomm paid Apple an estimated $4.5–$6 billion
B. Qualcomm stopped supplying chips for iPhones
C. A new six-year licensing agreement with an optional two-year extension
D. A permanent ban on iPhones in Germany

2. What was Apple's main objection to Qualcomm's licensing model?

A. Royalties were based on the full price of the device, not just the chip
B. Qualcomm refused to license 4G LTE patents to Apple
C. Qualcomm charged a flat fee per year
D. Qualcomm licensed only within the United States

3. RECALL **Terms of the April 2019 settlement**

Answers 1. C **2.** A **3.** Apple paid an undisclosed sum (estimated $4.5–$6 billion); a new six-year licensing agreement with an optional two-year extension; Qualcomm resumed supplying chips for iPhones.

PART E

SESSIONS 9–10 · FUNDAMENTALS OF FRANCHISING

CHAPTER 14 · SESSIONS 9–10 · CILO 1

What franchising is: definition, characteristics and two types

PROBLEM
A company with a successful brand and way of doing business wants more outlets than it can open itself.

→

BIG IDEA
Grant other parties the right to operate under the brand and sell its products or services, in exchange for a fee and royalties.

→

HOW (TOOLS)
The definition, three characteristics, and two types: product franchising and business format franchising.

→

RESULT
A shared brand run by many operators, supported and trained by the brand owner and paying it fees.

IN PLAIN WORDS

Sessions 9–10 define **franchising** as a business model in which one party, the **franchisor**, grants another, the **franchisee**, the rights to operate under its brand and to sell its products or services in exchange for a fee and royalties. Sessions 1–2 described the same strategy from the point of view of market entry, as letting a foreign party run a business under your system and brand.

Three **characteristics** mark a franchise. There is a **shared brand identity**: customers see one brand, whoever runs the outlet. There is **ongoing support and training** from the franchisor. And there is a **fee-based structure**, with an initial fee and royalties. Together they describe a continuing relationship rather than a one-off sale: the franchisee keeps receiving the brand and support, and keeps paying royalties after the initial fee.

The slides distinguish two **types of franchising**. **Product franchising** focuses on selling the franchisor's products, and the franchisee often gets exclusive rights; car dealerships such as Toyota's and soft drink bottlers such as Coca-Cola's are the examples. **Business format franchising** goes further: the franchisee adopts a complete business system, including branding, operations and marketing, as with McDonald's, Starbucks and 7-Eleven. McDonald's is also the slides' franchising example in Sessions 1–2, where it operates globally via franchisees under standard systems.

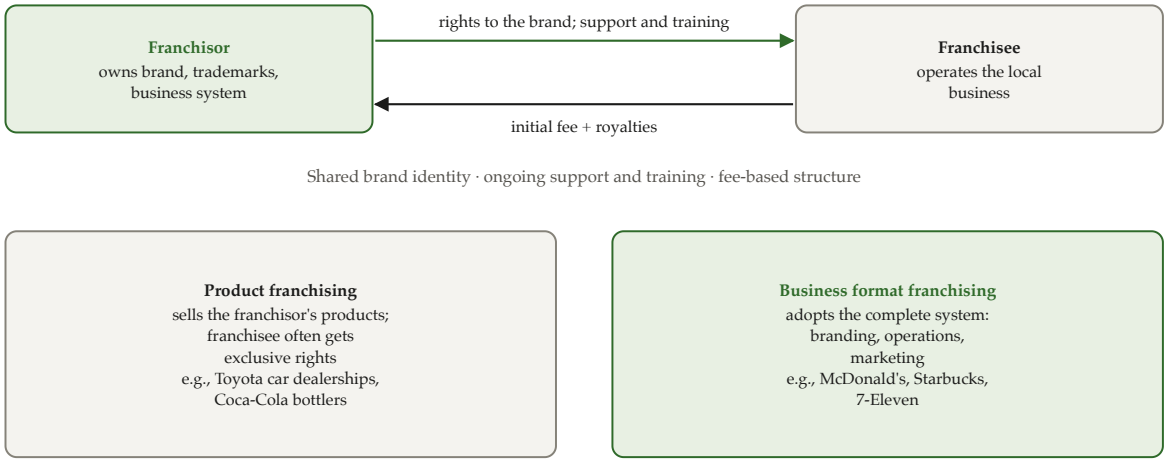


FIGURE 14.1 The top half shows the exchange at the heart of every franchise and its three characteristics. The bottom half shows the two types: product franchising passes on products, business format franchising passes on a whole way of running the business.

Definition

Franchising: a business model where one party (franchisor) grants another (franchisee) the rights to operate under its brand and sell its products or services in exchange for a fee and royalties.

Characteristics

1. **Shared brand identity**
2. **Ongoing support and training**
3. **Fee-based structure** (initial and royalty)

Types of franchising

TYPE	DESCRIPTION	EXAMPLES
Product Franchising	Focuses on selling the franchisor's products. Franchisee often gets exclusive rights.	Car dealerships (Toyota), soft drink bottlers (Coca-Cola)
Business Format Franchising	Franchisee adopts a complete business system including branding, operations and marketing.	McDonald's, Starbucks, 7-Eleven

Keep the two types apart

Product franchising	Business format franchising
What passes to the franchisee is the right to sell the franchisor's products, often exclusively.	What passes to the franchisee is the whole system: branding, operations and marketing.

Link to next topic → Sessions 9–10 then set out who does what in a franchise: the roles, responsibilities and benefits of the franchisor and the franchisee.

CHECK YOURSELF

Answer from memory, then check below.

1. **In business format franchising, the franchisee**
   - A. only sells the franchisor's products, often exclusively
   - B. adopts a complete business system including branding, operations and marketing
   - C. licenses a single patent
   - D. co-owns the franchise with a local firm
2. **Toyota car dealerships are the slides' example of**
   - A. business format franchising
   - B. master franchising
   - C. product franchising
   - D. technology licensing
3. RECALL **Product franchising and its examples**

Answers 1. B **2.** C **3.** Focuses on selling the franchisor's products; the franchisee often gets exclusive rights. Examples: car dealerships (Toyota), soft drink bottlers (Coca-Cola).

CHAPTER 15 · SESSIONS 9–10 · CILO 1–2

Who's who in franchising: roles, duties and benefits

PROBLEM
A franchise only works if both parties know what each owns, provides and owes.

→

BIG IDEA
The franchisor owns and maintains the brand and system; the franchisee runs the local business within it and pays for the right.

→

HOW (TOOLS)
The roles of each party, their responsibilities, and the benefits franchising brings to each.

→

RESULT
A division of labor in which each side's duties produce the other side's benefits.

IN PLAIN WORDS

The **franchisor** owns the brand, the trademarks and the business system. It provides training, marketing and systems, maintains quality and brand consistency, and innovates and updates the product or service. The **franchisee** uses the brand to operate a local business, pays fees and royalties and follows the guidelines, operates the business day to day, and implements the system locally.

The slides turn these roles into **responsibilities**. The franchisor must provide brand standards, offer initial and ongoing training, deliver marketing support, and maintain product quality and updates. The franchisee must pay fees (the franchise fee and royalties), follow operating standards, protect the brand's reputation, and report its financials and performance.

Franchising brings **benefits** to both sides. For the franchisor, it means rapid market expansion, revenue from franchise fees and lower capital investment. For the franchisee, it means access to a proven business model, brand recognition, and support and training. The lists mirror each other: the franchisor's training and marketing support are what the franchisee receives as support and training, and the fees the franchisee pays are the franchisor's fee revenue.

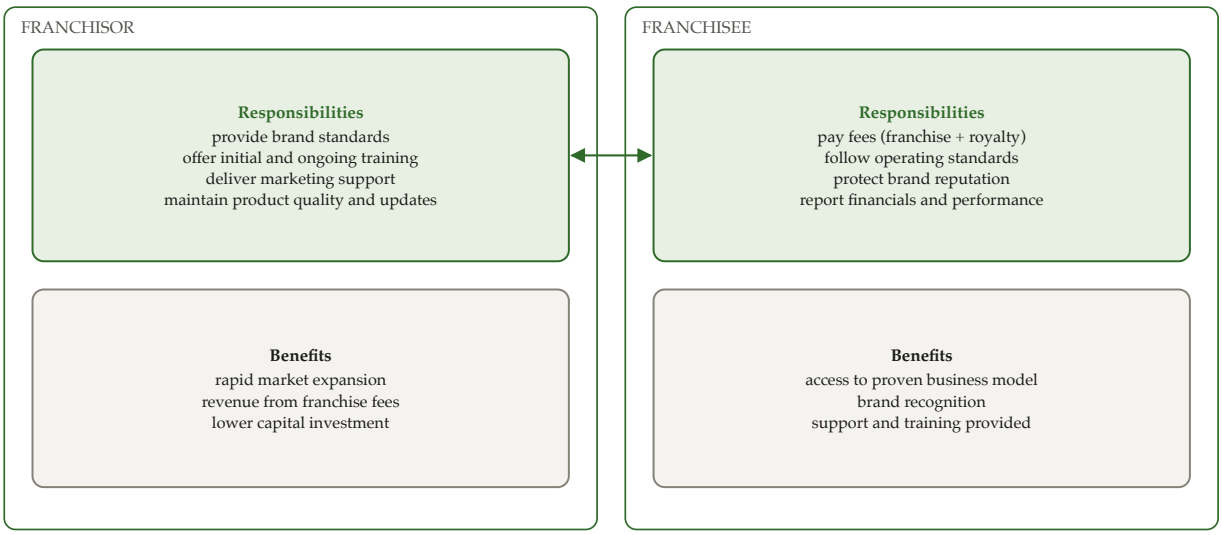


FIGURE 15.1 Each side's duties are the other side's benefits: the franchisor's training and marketing support become the franchisee's support and training, and the franchisee's fees become the franchisor's fee revenue.

Roles

Franchisor

- Owns brand, trademarks, business system
- Provides training, marketing, systems
- Maintains quality and brand consistency
- Innovates and updates product/service

Franchisee

- Uses brand to operate local business
- Pays fees/royalties; follows guidelines
- Operates day-to-day business
- Implements system locally

Responsibilities

Franchisor responsibilities

1. Provide brand standards
2. Offer initial and ongoing training
3. Deliver marketing support
4. Maintain product quality and updates

Franchisee responsibilities

1. Pay fees (franchise + royalty)
2. Follow operating standards
3. Protect brand reputation
4. Report financials and performance

Benefits of franchising

For franchisors

- **Expansion**: rapid market expansion
- **Revenue**: revenue from franchise fees
- **Capital**: lower capital investment

For franchisees

- **Model**: access to proven business model
- **Brand**: brand recognition
- **Help**: support and training provided

The Sessions 9–10 assignment

In pairs or groups, students choose a franchise brand they know, identify whether it is a product or a business format franchise, list at least three duties of the franchisor and three of the franchisee, and present their findings.

Link to next topic → Sessions 11–12 take franchising abroad: how a brand develops its franchise in foreign markets, and which development strategy suits which market.

CHECK YOURSELF

Answer from memory, then check below.

1. **Who 'innovates and updates the product/service' in a franchise?**
   - A. The franchisee
   - B. The master franchisee's sub-franchisees
   - C. The franchisor
   - D. The customers
2. **Which is a benefit of franchising for the franchisor?**
   - A. Access to a proven business model
   - B. Brand recognition
   - C. Support and training provided
   - D. Lower capital investment
3. (RECALL) **Four franchisor responsibilities**

Answers 1. C **2.** D **3.** Provide brand standards; offer initial and ongoing training; deliver marketing support; maintain product quality and updates.

PART F

SESSIONS 11–12 · DEVELOPING AN INTERNATIONAL FRANCHISE

CHAPTER 16 · SESSIONS 11–12 · CILO 2

International franchise development: goals and four strategies

PROBLEM
A franchisor that wants to grow abroad must decide how to structure its presence in each foreign market.

→

BIG IDEA
International franchise development expands a brand's presence in foreign markets using franchising models, chosen to fit the market.

→

HOW (TOOLS)
Four development goals and four strategies: direct franchising, master franchising, area development and joint ventures.

→

RESULT
A model that balances control against local leadership, speed and the barriers of each market.

IN PLAIN WORDS

Sessions 11–12 define **international franchise development** as expanding a brand's presence in foreign markets using franchising models. Its four **goals** are to gain international market access, to replicate business success abroad, to minimize risk and capital investment, and to adapt to cultural and regulatory conditions. The last goal is a reminder that copying a successful format is not enough: the franchise must also fit the culture and rules of each new market.

The slides then compare four **development strategies**. In **direct franchising**, the franchisor signs agreements directly with foreign franchisees; it suits close control in nearby or similar markets. In **master franchising**, the franchisor grants a country- or region-level partner the right to develop sub-franchisees; it suits markets that need local leadership and scalability. In **area development**, the franchisor grants a partner the right to open multiple units in a defined area; it suits rapid growth in targeted regions. In a **joint venture**, the franchisor partners with a local firm to co-own the franchise; it suits markets with high entry barriers or regulations.

The "when to use" column of the table shows the logic of the choice. The closer and more similar the market, the more the franchisor can deal with franchisees directly and keep control. The more a market needs local leadership, scale or a local co-owner to get past barriers, the more the franchisor hands responsibility to a partner.



FIGURE 16.1 The four strategies from the slides' table, each with its description and the situation it suits. The choice turns on how much control the franchisor needs and how much local leadership the market demands.

Definition

International franchise development: expanding a brand's presence in foreign markets using franchising models.

Goals

1. **Gain international market access**
2. **Replicate business success abroad**
3. **Minimize risk and capital investment**
4. **Adapt to cultural and regulatory conditions**

Key franchise development strategies

STRATEGY	DESCRIPTION	WHEN TO USE
Direct Franchising	Franchisor signs agreements directly with foreign franchisees	For close control in nearby or similar markets
Master Franchising	Grants a country/region-level partner the right to develop sub-franchisees	For markets needing local leadership and scalability
Area Development	Grants a partner rights to open multiple units in a defined area	For rapid growth in targeted regions
Joint Ventures	Partnering with a local firm to co-own the franchise	In markets with high entry barriers or regulations

Link to next topic → Sessions 11–12 then look closely at the two strategies that hand a territory to one partner, master franchising and area development, and compare them.

CHECK YOURSELF

Answer from memory, then check below.

1. Which strategy suits close control in nearby or similar markets?

A. Master franchising
B. Area development
C. Joint venture
D. Direct franchising

2. In which markets do the slides recommend a joint venture?

A. Nearby or similar markets
B. Markets needing local leadership and scalability
C. Markets with high entry barriers or regulations
D. Targeted regions needing rapid growth

3. RECALL **Four goals of international franchise development**

Answers 1. D **2.** C **3.** Gain international market access; replicate business success abroad; minimize risk and capital investment; adapt to cultural and regulatory conditions.

CHAPTER 17 · SESSIONS 11–12 · CILO 2

Master franchising versus area development

PROBLEM
Both models give one partner a whole territory, but they divide the work, the investment and the control differently.

→

BIG IDEA
A master franchisee may sub-franchise; an area developer may not, and owns and manages every outlet itself.

→

HOW (TOOLS)
Definitions, the master franchisee's responsibilities, a four-feature comparison, two cases (Domino's India and 7-Eleven Thailand) and four strategic considerations.

→

RESULT
A choice that weighs speed of expansion against the franchisor's control and the maturity of the market.

IN PLAIN WORDS

In **master franchising**, a franchisor gives one franchisee, the **master franchisee**, the right to develop and sub-franchise within a territory, usually a country or a large region. The master franchisee recruits and trains sub-franchisees, provides local support, ensures brand consistency and shares revenue with the franchisor. Subway, Baskin-Robbins and McDonald's (in some markets) use it. In India, Jubilant FoodWorks holds the master franchise rights for Domino's, is responsible for all stores and sub-franchisees, and its local adaptation led to successful expansion.

In **area development**, a franchisee is given the right to open and operate multiple franchise outlets within a specific territory, such as a city, a state or a region, within a set timeframe. No sub-franchising is allowed: the franchisee owns and manages all the outlets. The slides call it common in early-stage international expansion and name Starbucks (in selected markets) and Domino's Pizza as users. In Thailand, one company, CP All, operates all 7-Eleven stores in a defined territory, which gives uniformity in management and in the pacing of growth.

The comparison table sets the two side by side. Sub-franchise rights are allowed in master franchising and not in area development. The investment scope is medium to high for master franchising and high for area development, where the developer owns all the outlets.Master franchising expands faster, while area development is slower. Control by the franchisor is lower under master franchising and moderate under area development. The slides' strategic considerations then add four factors to the choice: cultural alignment, because local partners must understand consumer behavior; the legal framework, to ensure contract compliance

and intellectual property (IP) protection; market maturity, because advanced markets may support area developers while emerging ones may need master franchising; and brand control, because more control often means slower expansion.

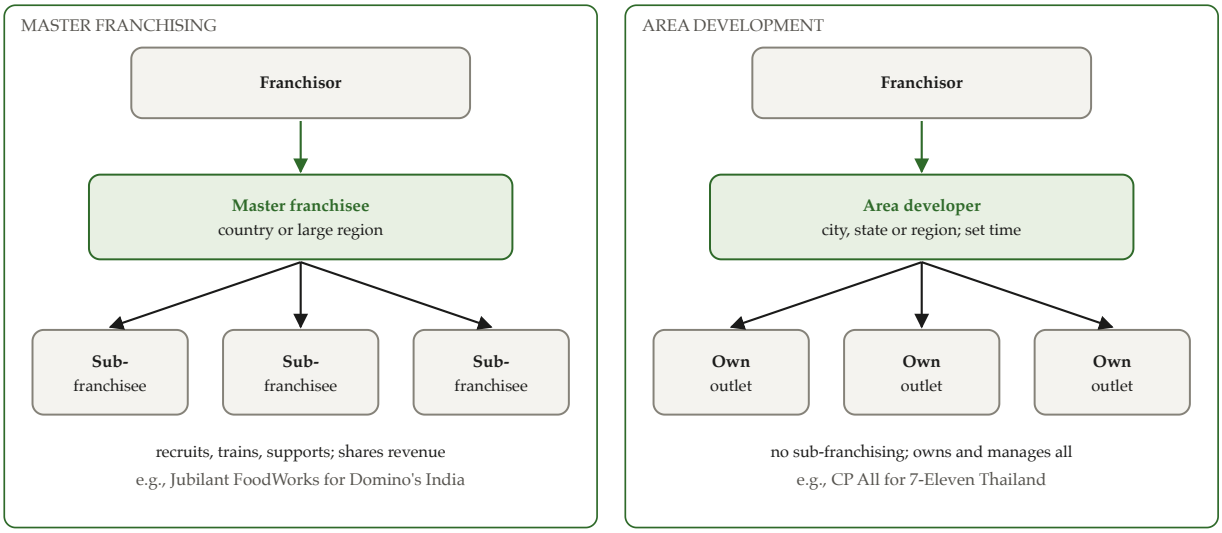


FIGURE 17.1 The difference sits in the bottom row. A master franchisee hands units on to sub-franchisees; an area developer keeps every outlet itself. That is why the slides rate master franchising faster but with lower franchisor control.

Master franchising

Definition: a franchisor gives one franchisee (the master franchisee) the right to develop and sub-franchise within a territory (usually a country or large region).

Responsibilities of the master franchisee

1. **Recruit and train sub-franchisees**
2. **Provide local support**
3. **Ensure brand consistency**
4. **Share revenue with the franchisor**

Used by Subway, Baskin-Robbins and McDonald's (in some markets).

Area development

Definition: a franchisee is given the right to open and operate multiple franchise outlets within a specific territory (e.g., a city, state or region) within a set timeframe.

- **No sub-franchising**: sub-franchising is not allowed.
- **Ownership**: the franchisee owns and manages all outlets.

- **When**: common in early-stage international expansion.
- **Users**: Starbucks (in selected markets), Domino's Pizza.

Comparison: master franchising vs. area development

FEATURE	MASTER FRANCHISING	AREA DEVELOPMENT
Sub-franchise rights	Allowed	Not allowed
Investment scope	Medium to High	High
Speed of expansion	Faster	Slower
Control by franchisor	Lower	Moderate

Two cases

Master franchise: Domino's India

- Jubilant FoodWorks holds master franchise rights
- Responsible for all stores and sub-franchisees
- Local adaptation led to successful expansion

Area development: 7-Eleven Thailand

- One company (CP All) operates all stores in a defined territory
- Uniformity in management and growth pacing

Strategic considerations

CONSIDERATION	WHAT THE SLIDES SAY
Cultural alignment	Local partners must understand consumer behavior
Legal framework	Ensure contract compliance and IP protection
Market maturity	Advanced markets may support area developers; emerging ones may need master franchising
Brand control	More control often means slower expansion

The Sessions 11–12 assignment

In groups, students choose a real brand that has expanded internationally, identify whether it used direct franchising, master franchising or area development, explain why that model was appropriate, and suggest an alternative model with a justification.

Link to next topic → The "legal framework" consideration points ahead to Sessions 13–14, which cover the franchise agreement, disclosure documents and the franchise laws of several countries.

CHECK YOURSELF

Answer from memory, then check below.

1. The key difference between master franchising and area development is that

A. a master franchisee may sub-franchise, while an area developer may not
B. an area developer may sub-franchise, while a master franchisee may not
C. only area development covers a whole country
D. only master franchising requires a franchise agreement

2. Who holds the master franchise rights for Domino's in India?

A. CP All
B. Tata
C. Jubilant FoodWorks
D. Burgerim

3. RECALL **Four strategic considerations in choosing a franchise model**

Answers 1. A **2.** C **3.** Cultural alignment (partners must understand consumer behavior); legal framework (contract compliance and IP protection); market maturity (advanced markets may support area developers, emerging ones may need master franchising); brand control (more control often means slower expansion).

PART G

SESSIONS 13–14 · FRANCHISE AGREEMENTS AND LEGAL FRAMEWORKS

CHAPTER 18 · SESSIONS 13–14 · CILO 3

The franchise agreement: purpose and eight standard clauses

PROBLEM
A franchise relationship lasts years, and without written terms the brand, the money and the exit are all open to dispute.

→

BIG IDEA
A franchise agreement is a legally binding contract that sets out the rights, responsibilities and operational terms of both parties.

→

HOW (TOOLS)
Four purposes and eight standard clauses, from grant of rights to dispute resolution.

→

RESULT
Protected intellectual property, a consistent brand, a relationship governed over time and fewer legal disputes.

IN PLAIN WORDS

Sessions 13–14 define a **franchise agreement** as a legally binding contract between a franchisor and a franchisee that outlines rights, responsibilities and operational terms. It has four **purposes**: to protect intellectual property (IP), to ensure brand consistency, to govern the relationship over time, and to minimize legal disputes.

The slides list eight **standard clauses**. The **grant of rights** defines the franchisee's right to use the brand, the logo and the system. The **territory** clause specifies the geographical area of operation, which may be exclusive or non-exclusive. **Term and renewal** set the duration of the agreement and the conditions for renewing it. **Fees and royalties** outline the initial franchise fee, the ongoing royalties and any advertising fees. **Training and support** describe the franchisor's obligations to train and support the franchisee in operations.

Brand standards ensure quality and consistency in products and services. **Termination and exit** set the conditions under which the agreement can be ended. **Dispute resolution** fixes the jurisdiction, arbitration or choice of court in case of conflict. Several clauses put into contract form the duties described in Sessions 9–10: training and support is the franchisor's duty to offer initial and ongoing training, brand standards match the franchisee's duty to follow operating standards, and fees and royalties match the franchisee's duty to pay.

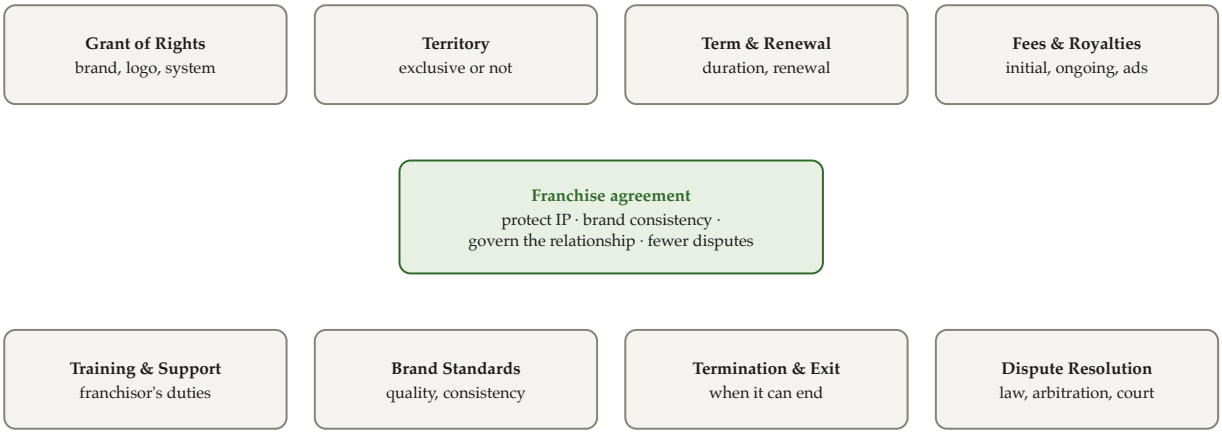


FIGURE 18.1 The eight clauses from the slides' table surround the four purposes of the agreement. Some links are direct: Brand Standards matches the aim of brand consistency, and Dispute Resolution matches the aim of fewer legal disputes.

Definition and purpose

Franchise agreement: a legally binding contract between a franchisor and a franchisee that outlines rights, responsibilities and operational terms.

1. **Protect intellectual property**
2. **Ensure brand consistency**
3. **Govern the relationship over time**
4. **Minimize legal disputes**

Standard clauses in franchise agreements

CLAUSE	PURPOSE
Grant of Rights	Defines the franchisee's right to use the brand, logo and system
Territory	Specifies geographical area of operation (exclusive or non-exclusive)
Term & Renewal	Duration of agreement and conditions for renewal
Fees & Royalties	Outlines initial franchise fee, ongoing royalties, advertising fees
Training & Support	Describes franchisor's obligations for training and operational support
Brand Standards	Ensures quality and consistency in products/services
Termination & Exit	Conditions under which the agreement can be ended
Dispute Resolution	Jurisdiction, arbitration or court selection in case of conflict

The Sessions 13–14 assignment

Students review the sample franchise agreement distributed in class or through the learning management system (LMS) and identify five standard clauses, for example Grant of Rights, Term, Fees, Termination and Dispute Resolution. For each clause they briefly explain its function and identify the risk if the clause is vague, missing or biased. They then suggest one additional clause or modification that could improve legal protection, address a common franchise conflict, or enhance clarity for franchisee and franchisor.

Link to next topic → Before a franchise agreement is signed, many countries require the franchisor to give the prospective franchisee a disclosure document, the subject of the next chapter.

CHECK YOURSELF

Answer from memory, then check below.

1. **The territory clause in a franchise agreement specifies the area of operation, which may be**
   - A. exclusive or non-exclusive
   - B. only exclusive
   - C. only nationwide
   - D. decided after signing
2. **Jurisdiction, arbitration or court selection in case of conflict is set by**
   - A. termination & exit
   - B. dispute resolution
   - C. territory
   - D. brand standards
3. (RECALL) **The eight standard clauses in franchise agreements**

Answers 1. A **2.** B **3.** Grant of rights, territory, term & renewal, fees & royalties, training & support, brand standards, termination & exit, dispute resolution.

CHAPTER 19 · SESSIONS 13–14 · CILO 3

The franchise disclosure document and franchise laws by country

PROBLEM
A prospective franchisee is asked to invest before it can see how the franchise system really performs.

→

BIG IDEA
A franchise disclosure document gives prospective franchisees key information about the franchisor and the system before they sign.

→

HOW (TOOLS)
The document's purpose, eight key sections, the 14-day rule in the United States, and the franchise laws of four countries.

→

RESULT
Informed decisions by franchisees and compliance with each country's franchise law.

IN PLAIN WORDS

A **franchise disclosure document (FDD)** is a legal disclosure document, required in many countries such as the United States of America (USA), that provides prospective franchisees with key information about the franchisor and the franchise system. Its **purpose** is threefold: to protect prospective franchisees, to promote transparency and informed decision-making, and to comply with franchise laws and regulations.

The slides list eight **key sections**: franchisor background (history, structure and business model); litigation history (past or pending lawsuits involving the franchisor); initial and ongoing fees (a breakdown of all required payments); estimated initial investment (the start-up cost range); obligations of the franchisee (operational duties and restrictions); territory rights (market area and exclusivity); financial performance representations (earnings claims, if provided); and financial statements (audited reports of the franchisor). In the USA, the FDD must be provided at least 14 days before a franchise agreement is signed, which gives the prospective franchisee time to study it before committing.

Franchise law differs from country to country. In the USA, the franchise authority is the Federal Trade Commission (FTC), and an FDD is required. In Indonesia, franchising falls under the Ministry of Trade, Regulation No. 71/2019, and an FDD is required. In the United Kingdom (UK) there is no specific franchise law; franchising follows contract law, and disclosure is not required but is voluntary under the BFA (British Franchise Association). In Australia, the Franchising Code of Conduct applies and an FDD is required.

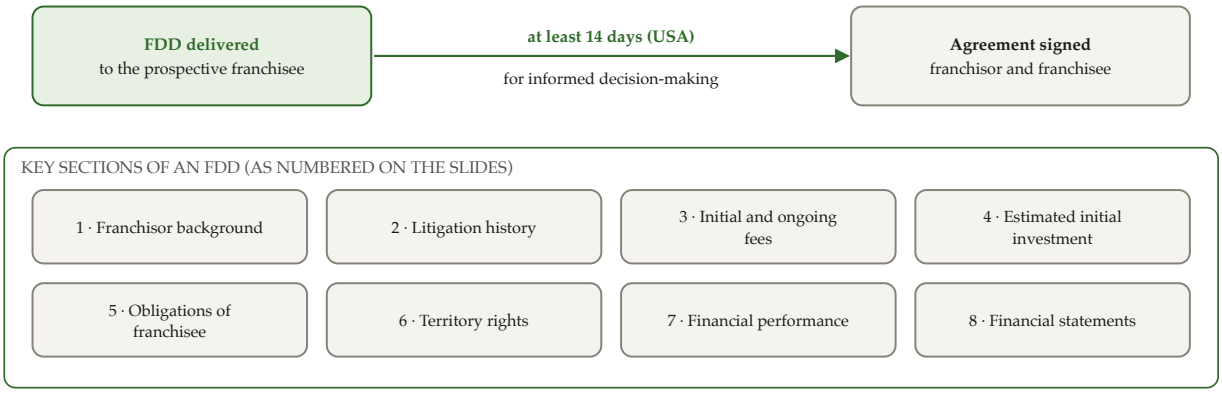


FIGURE 19.1 The waiting period exists so that the disclosure can do its job: a prospective franchisee reads the eight sections before committing, not after. The numbering follows the slides.

Definition and purpose

FDD: a legal disclosure document required in many countries (e.g., the USA) that provides prospective franchisees with key information about the franchisor and the franchise system.

1. **Protect prospective franchisees**
2. **Promote transparency and informed decision-making**
3. **Comply with franchise laws and regulations**

Key sections of an FDD

NO.	ITEM	DESCRIPTION
1	**Franchisor Background**	History, structure and business model
2	**Litigation History**	Past or pending lawsuits involving the franchisor
3	**Initial and Ongoing Fees**	Breakdown of all required payments
4	**Estimated Initial Investment**	Start-up cost range
5	**Obligations of Franchisee**	Operational duties and restrictions
6	**Territory Rights**	Market area and exclusivity
7	**Financial Performance Representations**	Earnings claims (if provided)
8	**Financial Statements**	Audited reports of the franchisor

USA: FDD provided ≥ 14 days before the franchise agreement is signed

Legal frameworks across countries

COUNTRY	FRANCHISE LAW/AGENCY	FDD REQUIRED?
USA	Federal Trade Commission (FTC)	Yes
Indonesia	Ministry of Trade, Regulation No. 71/2019	Yes
UK	No specific law; follows contract law	No, voluntary under BFA
Australia	Franchising Code of Conduct	Yes

Link to next topic → Sessions 13–14 end with the legal risks in franchise agreements and a case in which a franchisor failed to make the disclosures its FDD required: FTC v. Burgerim.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which FDD section covers past or pending lawsuits involving the franchisor?**
   - A. Franchisor background
   - B. Obligations of franchisee
   - C. Litigation history
   - D. Financial statements

2. **Which country's franchise framework has no specific law, with disclosure voluntary under the BFA?**
   - A. USA
   - B. UK
   - C. Indonesia
   - D. Australia

3. RECALL **The eight key sections of an FDD (slides' numbering)**

Answers 1. C **2.** B **3.** 1 Franchisor background; 2 Litigation history; 3 Initial and ongoing fees; 4 Estimated initial investment; 5 Obligations of franchisee; 6 Territory rights; 7 Financial performance representations; 8 Financial statements.

CHAPTER 20 · SESSIONS 13–14 · CILO 3 · CASE

Legal risks in franchising and the Burgerim case

PROBLEM
Franchise agreements can fail through unclear territories, false disclosures, weak dispute mechanisms or poor enforcement abroad.

→

BIG IDEA
Name the legal risks and mitigate them with expert advice, standardized contracts and country-specific disclosure rules.

→

HOW (TOOLS)
Four legal risks, three mitigations, and the Burgerim case (2021), a disclosure violation.

→

RESULT
The Burgerim case shows the cost of failure: franchisees lost money, the regulator sued, and the company filed for bankruptcy.

IN PLAIN WORDS

Sessions 13–14 name four **legal risks in franchise agreements**: unclear territory boundaries; misrepresentation in the franchise disclosure document (FDD); insufficient dispute resolution mechanisms; and lack of enforcement in international jurisdictions. The risks touch the same subjects as the deck's earlier slides: the territory clause, the FDD, the dispute resolution clause and the legal frameworks of different countries. The slides give three **mitigations**: consult legal experts, use standardized contract templates, and follow country-specific disclosure rules.

The case is **FTC v. Burgerim (2021)**, brought by the Federal Trade Commission (FTC). Burgerim was a United States (US)-based fast-food franchise that marketed customizable mini-burgers. Between 2016 and 2019 it aggressively sold more than 1,500 franchise units, including to first-time business owners and military veterans. The issue was a violation of franchise disclosure requirements. Burgerim failed to provide accurate and complete FDDs to potential franchisees as federal law required, and omitted critical information: financial performance data, realistic costs and failure rates, and the operating difficulties prior franchisees had experienced. It also overstated the earning potential and implied that franchisees would succeed quickly. This violated the **FTC Franchise Rule**, which mandates full disclosure before a franchise agreement is signed.

The outcome was severe. Numerous franchisees lost thousands of dollars, many without ever opening a restaurant. In 2021 the FTC filed a lawsuit against Burgerim and its founder, Oren Loni, alleging deceptive business practices. The company later filed for bankruptcy, and its operations declined significantly. The

case shows the second legal risk, misrepresentation in the FDD, in practice, and why the slides' third mitigation, following country-specific disclosure rules, matters.

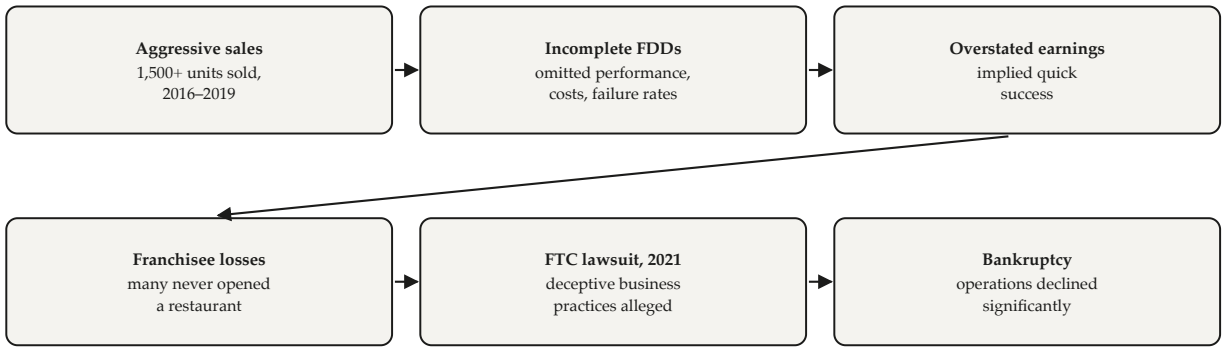


FIGURE 20.1 Read the chain left to right, top row first. The violation at its centre was a disclosure failure under the FTC Franchise Rule; everything after it is the cost of that failure to franchisees and then to the franchisor.

Legal risks in franchise agreements

1. **Unclear territory boundaries**
2. **Misrepresentation in FDD**
3. **Insufficient dispute resolution mechanisms**
4. **Lack of enforcement in international jurisdictions**

Mitigation

- **Experts**: consult legal experts
- **Templates**: use standardized contract templates
- **Disclosure**: follow country-specific disclosure rules

Case example: FDD violation, FTC v. Burgerim (2021)

Case overview

- **Business**: US-based fast-food franchise marketing customizable mini-burgers.
- **Sales**: between 2016 and 2019 aggressively sold over 1,500 franchise units, including to first-time business owners and military veterans.

Issue: violation of franchise disclosure requirements

- **Inaccurate FDDs**: failed to provide accurate and complete FDDs to potential franchisees as required by federal law.

- **Omissions**: financial performance data; realistic costs and failure rates; operating difficulties experienced by prior franchisees.
- **Overstatement**: overstated the earning potential and implied franchisees would succeed quickly.
- **Rule broken**: the FTC Franchise Rule, which mandates full disclosure before signing a franchise agreement.

Outcome

1 Losses
Numerous franchisees lost thousands of dollars, many without ever opening a restaurant

2 Lawsuit
In 2021 the FTC sued Burgerim and its founder, Oren Loni, alleging deceptive business practices

3 Bankruptcy
The company later filed for bankruptcy, and its operations significantly declined

Link to next topic → Each session pair closes with an assignment, and together those assignments show how the course expects its topics to be combined in an analysis of a real company.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is one of the four legal risks in franchise agreements?**
   - A. Too many training sessions
   - B. Royalties paid on time
   - C. Use of standardized contract templates
   - D. Unclear territory boundaries
2. **Which is a mitigation for legal risks in franchise agreements?**
   - A. Avoid disclosure documents altogether
   - B. Rely on verbal agreements
   - C. Follow country-specific disclosure rules
   - D. Use a different contract for every franchisee
3. RECALL **The outcome of the Burgerim case**

Answers 1. D **2.** C **3.** Numerous franchisees lost thousands of dollars, many without opening a restaurant; in 2021 the FTC sued Burgerim and founder Oren Loni for deceptive business practices; the company later filed for bankruptcy.

CHAPTER 21 · SYNTHESIS · THE ASSIGNMENTS

Analyzing a company's entry strategy: the assignment frameworks

PROBLEM
Each session pair teaches its own lists and tables, but a real company has to be analyzed with several of them at once.

→

BIG IDEA
The course's seven assignments show how the topics are meant to be combined: strategy, reason, advantages and disadvantages in context, and result.

→

HOW (TOOLS)
The structure of each assignment, from the two-company comparison of Sessions 1–2 to the clause review of Sessions 13–14.

→

RESULT
A repeatable line of analysis that draws on the right chapter at each step.

IN PLAIN WORDS

Every deck in the course ends with an assignment, and the assignments are the materials' own guide to combining the topics. The first, in Sessions 1–2, sets the basic line of analysis. For each of two companies that used different strategies to enter global markets, students explain the strategy used, the reason for choosing it, its advantages and disadvantages in the context of the company, and its result or impact: whether it succeeded or failed, and why.

The later assignments ask for the same kind of analysis in more depth for one strategy. Sessions 3–4 ask for a licensing company's overview, its type of licensing, its agreement highlights, its strategic rationale compared with franchising, exporting or a joint venture (JV), its outcomes and challenges, and the student's own view. Sessions 5–6 ask for the strategic reason for licensing, partner selection, risks and their management, and whether the strategy succeeded. Sessions 7–8 ask for a country's intellectual property (IP) types, its regulatory authority, one rule that differs from or adds to the TRIPS Agreement (Trade-Related Aspects of Intellectual Property Rights) or European Union (EU) or United States (US) law, and a licensing case. Sessions 9–10 ask for a franchise's type and the duties of each party. Sessions 11–12 ask which development model a brand used, why it fitted, and what alternative could be justified. Sessions 13–14 ask for the function of five clauses in a franchise agreement, the risk if each is vague, missing or biased, and one improvement.

Laid side by side, the assignments use the chapters of this book as their tools. The "reason" step draws on the strategy comparison and the objectives of licensing;

the "advantages and disadvantages" step draws on the benefit and limitation lists and on direct versus indirect entry; the clause and risk steps draw on the agreement chapters; and the "result" step draws on the cases, where Disney, ARM and Domino's India are presented as successes and Burgerim as a failure.

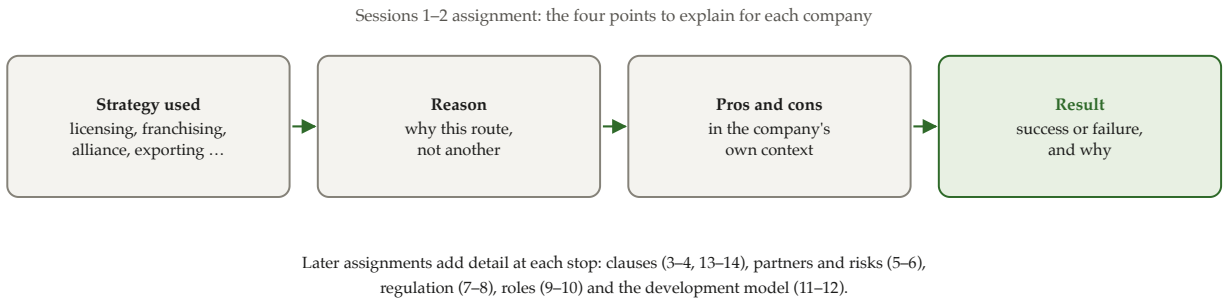


FIGURE 21.1 The four points the first assignment asks for, in order. Every later assignment in the course asks for one or more of these points in more detail for a single strategy.

The seven assignments

SESSIONS	TASK	POINTS TO COVER	CHAPTERS TO DRAW ON
1–2	Two companies using different entry strategies	Strategy used; reason for choosing it; advantages and disadvantages in context; result or impact	four routes, comparison, direct vs. indirect
3–4	Analyzing real-world licensing strategies (one company)	Company overview; type of licensing; agreement highlights; strategic rationale; outcomes and challenges; your insights	types, clauses, cases
5–6	300–500 word essay on a global company using licensing	Strategic reason; partner selection; risks and how they were managed; success and why	objectives, partners and risks
7–8	Comparative snapshot of global licensing regulations (one country or region per group)	Main IP types protected; main IP authority; one key rule or legal distinction; example of a licensing case	IP types, IP laws
9–10	A franchise brand you know (pairs or groups)	Product or business format; at least 3 franchisor duties and 3 franchisee duties; present findings	types, roles

11–12	A real brand that expanded internationally (groups)	Direct, master or area development; why appropriate; an alternative model, justified	strategies, master vs. area
13–14	Review of a sample franchise agreement	Five standard clauses: function and risk if vague, missing or biased; one added clause or modification	clauses, legal risks

The basic line of analysis (Sessions 1–2)

1 Strategy used
Franchising, licensing, strategic alliance, exporting and so on

2 Reason
Why the company chose that strategy

3 Advantages and disadvantages
Of the strategy, in the context of the company

4 Result or impact
Was it successful? Did it fail? Why?

CHECK YOURSELF

Answer from memory, then check below.

1. **Which four points does the Sessions 1–2 assignment ask students to explain for each company?**
   - A. Overview, licensing type, clauses, insights
   - B. IP types, authority, key rule, case
   - C. Clause function, risk if vague, added clause, conclusion
   - D. Strategy used, reason, advantages and disadvantages in context, result or impact

2. **Which assignment asks students to suggest an alternative franchise model and justify it?**
   - A. Sessions 9–10
   - B. Sessions 13–14
   - C. Sessions 11–12
   - D. Sessions 5–6

3. RECALL **The basic line of analysis from the Sessions 1–2 assignment**

Answers 1. D **2.** C **3.** Strategy used → reason for choosing it → advantages and disadvantages in the company's context → result or impact (success or failure, and why).

APPENDIX · REFERENCE

Key lists and numbers

The course's lists and figures in one place, in the form and order the slides give them.

LIST	ITEMS	CHAPTER
Why enter international markets (4)	Access new customers · Increase revenue · Gain competitive advantage · Spread risk across markets	Four routes
Entry strategies (4)	Exporting · Licensing · Franchising · Strategic Alliances	Four routes
Comparison criteria (strategies)	Investment · Control · Risk · Best use case	Comparison
Direct vs. indirect criteria (5)	Control · Cost · Speed · Market knowledge · Risk	Direct vs. indirect
Types of licensing (5)	Product · Brand/Trademark · Technology · Copyright · Merchandise	Licensing
Core clauses, licensing agreement (8)	IP Scope · Territory · Exclusivity · Duration · Royalty Terms · Quality Control · Termination · Renewal & Transferability	Agreement
Strategic objectives of licensing (5)	Market Entry · Revenue Generation · Brand Extension · Resource Leverage · Regulatory Navigation	Strategic licensing
Licensing as a competitive strategy (4)	Offensive · Defensive · Cross-Licensing · Co-Branding	Strategic licensing
Product life cycle stages (4)	Introduction · Growth · Maturity · Decline	Strategic licensing
Partner criteria (4)	Market access and reputation · Financial and operational capabilities · Cultural and regulatory alignment · Track record of compliance and performance	Partners and risks
Licensing risks (5)	IP Misuse · Reputation Damage · Quality Control · Loss of Market Control · Legal/Compliance Risk	Partners and risks
Types of IP (4)	Trademarks · Patents · Copyrights · Trade Secrets	IP basics
International agreements (4)	TRIPS · Berne Convention · Madrid Protocol · WIPO	IP laws

Legal clauses, licensing contract (6)	Grant of Rights · Territory and Term · Royalty Clause · Quality Control · Termination Clause · Jurisdiction/Dispute Resolution	Clauses and ethics
Ethical principles (4)	Fairness · Transparency · Cultural sensitivity · Legal integrity	Clauses and ethics
Franchising characteristics (3)	Shared brand identity · Ongoing support and training · Fee-based structure	Franchising
Types of franchising (2)	Product Franchising · Business Format Franchising	Franchising
Franchise development strategies (4)	Direct Franchising · Master Franchising · Area Development · Joint Ventures	Development
Strategic considerations (4)	Cultural alignment · Legal framework · Market maturity · Brand control	Master vs. area
Standard clauses, franchise agreement (8)	Grant of Rights · Territory · Term & Renewal · Fees & Royalties · Training & Support · Brand Standards · Termination & Exit · Dispute Resolution	Agreement
Key sections of an FDD (8)	Franchisor Background · Litigation History · Initial and Ongoing Fees · Estimated Initial Investment · Obligations of Franchisee · Territory Rights · Financial Performance Representations · Financial Statements	FDD
Legal risks, franchise agreements (4)	Unclear territory boundaries · Misrepresentation in FDD · Insufficient dispute resolution mechanisms · Lack of enforcement in international jurisdictions	Legal risks

Numbers and dates

FIGURE	WHAT IT REFERS TO
80+ countries	Indomie's export markets
Over 90%	Share of smartphones globally powered by ARM's architecture
1946	Lanham Act (USA)
1998	DMCA (USA)
1994 / 1995	TRIPS Agreement (table date) / effective date
April 2019	Apple–Qualcomm settlement
$4.5–$6 billion	Estimated settlement sum paid by Apple

6 years + 2 optional	New Apple–Qualcomm licensing agreement
14 days	Minimum time before signing that an FDD must be provided (USA)
No. 71/2019	Indonesian Ministry of Trade regulation on franchising
2016–2019	Burgerim's aggressive franchise sales
1,500+ units	Franchise units sold by Burgerim
2021	FTC lawsuit against Burgerim
300–500 words	Length of the Sessions 5–6 essay assignment

APPENDIX · REFERENCE

Companies and cases

COMPANY	WHAT THE SLIDES USE IT FOR	CHAPTER
7-Eleven	Business format franchising; area development in Thailand through CP All	Franchising, Master vs. area
Apple	Product licensing (Lightning connector); ARM licensee; Apple vs. Qualcomm dispute	Licensing, Apple vs. Qualcomm
ARM Holdings (UK)	Technology licensing case	Disney and ARM
Baskin-Robbins	Uses master franchising	Master vs. area
Burgerim	FDD violation case, FTC v. Burgerim (2021)	Legal risks
Coca-Cola	Product franchising (bottlers); trademark (font) and trade secret (formula)	Franchising, IP basics
Disney	Licensing example; brand and merchandise licensing case	Comparison, Disney and ARM
Domino's	Area development (Domino's Pizza); master franchise in India through Jubilant FoodWorks	Master vs. area
FIFA	Merchandise licensing (World Cup jerseys and merchandise)	Licensing
Indomie	Exporting example	Comparison
McDonald's	Franchising example; business format franchising; master franchising in some markets; Marvel toys (brand licensing)	Comparison, Franchising, Master vs. area
Nike	Trademark (logo)	IP basics
Qualcomm	ARM licensee; holder of standard-essential patents in the Apple dispute	Apple vs. Qualcomm
Spotify	Copyright licensing (music from record labels)	Licensing
Starbucks	Alliance with Tata in India; direct entry (own stores); business format franchising; area development in selected markets	Comparison, Direct vs. indirect, Master vs. area
Subway	Uses master franchising	Master vs. area

Toyota	Product franchising (car dealerships)	Franchising

APPENDIX · REFERENCE

Glossary of abbreviations

SHORT	STANDS FOR / MEANING
4G	Fourth generation (of mobile communication technology), as in 4G LTE
BFA	British Franchise Association: under it, franchise disclosure in the UK is voluntary
CILO	Course intended learning outcome: the three outcomes the course is built around
DMCA	Digital Millennium Copyright Act (USA, 1998): protects digital content and service providers; copyright holders can issue takedown notices
EU	European Union
EUIPO	European Union Intellectual Property Office: the governing body for the EU IP Directive and Regulations
FDD	Franchise disclosure document: a legal document giving prospective franchisees key information about the franchisor and the system; in the USA, provided at least 14 days before signing
FIFA	Fédération Internationale de Football Association: its World Cup jerseys and merchandise are the slides' example of merchandise licensing
FTC	Federal Trade Commission (USA): the US franchise authority; it enforces the FTC Franchise Rule and sued Burgerim in 2021
GATT	General Agreement on Tariffs and Trade: TRIPS was part of its Uruguay Round of negotiations
IoT	Internet of Things: one of the device types that use ARM's processor architectures
IP	Intellectual property: trademarks, patents, copyrights and trade secrets; what a licensor permits a licensee to use
JV	Joint venture: partnering with a local firm to co-own the business (in franchising, to co-own the franchise)
LMS	Learning management system: where the sample franchise agreement for the Sessions 13–14 assignment is distributed
LTE	Long-Term Evolution, as in 4G LTE: a mobile communication technology for which Qualcomm holds standard-essential patents
SEP	Standard-essential patent: a patent on technology a standard requires, such as Qualcomm's patents for 4G LTE
SWOT	Strengths, weaknesses, opportunities, threats: an analysis used to evaluate a licensing partner

TOWS	Threats, opportunities, weaknesses, strengths: an analysis named with SWOT as a partner evaluation tool
TRIPS	Trade-Related Aspects of Intellectual Property Rights: the 1994 WTO agreement, effective 1995, setting IP rules for member countries
UK	United Kingdom
US	United States
USA	United States of America
USPTO	United States Patent and Trademark Office: the governing body for the Lanham Act
WIPO	World Intellectual Property Organization: listed with TRIPS, the Berne Convention and the Madrid Protocol among key international instruments
WTO	World Trade Organization: the governing body for the TRIPS Agreement

APPENDIX · REFERENCE

Textbooks

Sherman, A. J. (2011). *Franchising & licensing: Two powerful ways to grow your business in any economy* (4th ed.). AMACOM/American Management Association. ISBN 0814427790, 9780814427798.

Tjemkes, B., Vos, P., & Burgers, K. (2023). *Strategic alliance management* (3rd ed.). Routledge. ISBN 9781000892000.

Flashcards

Cover the right-hand column and answer from memory.

Course map and assignments 12 cards

The three CILOs of the course	CILO 1: define the foundational principles of international licensing, franchising and strategic alliances. CILO 2: evaluate different market entry strategies and determine when licensing, franchising or alliances are most appropriate. CILO 3: identify legal, financial and operational factors affecting international business collaborations.
Which session decks serve CILO 3	Sessions 7–8 (Legal and Ethical Issues in Licensing) and Sessions 13–14 (Franchise Agreements and Legal Frameworks).
The two lanes of the course after Sessions 1–2	The licensing lane (Sessions 3–8: fundamentals, strategic use, legal and ethical issues) and the franchising lane (Sessions 9–14: fundamentals, international development, agreements and legal frameworks).
The two course textbooks	Sherman (2011), Franchising & Licensing: Two Powerful Ways to Grow Your Business in Any Economy (AMACOM); and Tjemkes, Vos & Burgers (2023), Strategic Alliance Management (Routledge).
Where strategic alliances are covered in the course folder	Only in the Sessions 1–2 overview (definition, advantages, challenges, comparison and the Starbucks + Tata example); no deck treats them on their own.
The seven deck titles in order	Introduction to International Market Entry Strategies (1–2); Fundamentals of Licensing (3–4); Strategic Use of Licensing (5–6); Legal and Ethical Issues in Licensing (7–8); Fundamentals of Franchising (9–10); Developing an International Franchise (11–12); Franchise Agreements and Legal Frameworks (13–14).

The basic line of analysis from the Sessions 1–2 assignment	Strategy used → reason for choosing it → advantages and disadvantages in the company's context → result or impact (success or failure, and why).
Which assignment asks for a rule that differs from TRIPS or EU/US law	Sessions 7–8: the comparative snapshot of global licensing regulations.
Which assignment asks for an alternative franchise model, justified	Sessions 11–12: identify direct, master or area development, explain why it fit, and suggest an alternative.
Which assignment asks for the risk of a vague, missing or biased clause	Sessions 13–14: review of the sample franchise agreement.
Strategies named in the Sessions 3–4 assignment's 'strategic rationale' comparison	Licensing versus franchising, exporting, a joint venture (JV), etc.
Cases presented as successes and as a failure	Successes: Disney, ARM, Domino's India. Failure: Burgerim.

Sessions 1–2 · Market entry 25 cards

The four reasons to enter international markets	(1) Access new customers; (2) increase revenue; (3) gain competitive advantage; (4) spread risk across markets.
The four international entry strategies	Exporting, licensing, franchising and strategic alliances.
Exporting: definition, advantages, challenges	Selling domestic products abroad. Advantages: low risk, easy entry. Challenges: limited control, trade barriers.
Direct versus indirect exporting	Direct exporting: the company handles it. Indirect exporting: using intermediaries.
Licensing (Sessions 1–2): definition, advantages, challenges	Permitting a foreign company to use your intellectual property. Advantages: low cost, fast expansion. Challenges: loss of control, potential IP misuse.
Franchising (Sessions 1–2): definition, advantages, challenges	Letting a foreign party run a business under your system and brand. Advantages: scalable, uses local knowledge. Challenges: franchisee quality control, dependency.
Strategic alliance: definition	Collaboration between two or more firms to pursue mutual goals while remaining independent.

Strategic alliance: advantages and challenges	Advantages: shared cost and risk; access to local market expertise. Challenges: complex coordination; possible conflict.
Investment level of each entry strategy	Exporting: low. Licensing: low. Franchising: medium. Strategic alliance: medium–high.
Control level of each entry strategy	Exporting: low. Licensing: low. Franchising: medium. Strategic alliance: shared.
Risk level of each entry strategy	Exporting: low. Licensing: medium. Franchising: medium. Strategic alliance: medium.
Best use case of each entry strategy	Exporting: testing foreign demand. Licensing: entering IP-intensive industries. Franchising: service businesses seeking global scale. Strategic alliance: complex markets requiring local support.
Indomie as an entry example	Exporting: exports instant noodles from Indonesia to 80+ countries without local factories.
Disney as an entry example (Sessions 1–2)	Licensing: licenses characters to global partners for merchandise production.
McDonald's as an entry example (Sessions 1–2)	Franchising: operates globally via franchisees under standard systems.
Starbucks + Tata as an entry example	Strategic alliance: formed to enter the Indian market; Tata handles sourcing and operations.
Direct entry versus indirect entry: definitions	Direct entry: own subsidiaries, local branches. Indirect entry: use agents, distributors or partners.
Direct versus indirect entry on control and cost	Control: direct high (own operations and decision-making), indirect low (agents or partners). Cost: direct high (setup and operational investment), indirect low (minimal investment).
Direct versus indirect entry on speed	Direct: slower, requires physical establishment. Indirect: faster, leverages existing networks.
Direct versus indirect entry on market knowledge	Direct: high, direct access to consumers and insights. Indirect: low, filtered through intermediaries.

Direct versus indirect entry on risk	Direct: higher, full exposure to local challenges. Indirect: lower, risk is shared or passed to partners.
The slides' examples of direct and indirect entry	Direct: Starbucks opening its own stores. Indirect: local distributors selling a domestic product overseas.
Three advantages of direct entry	High control over operations and branding; strong market presence; direct customer feedback and insight.
Three disadvantages of indirect entry	Low control over branding and customer experience; limited market insight; reliance on third parties.
The four points of the Sessions 1–2 assignment, for each company	The strategy used; the reason for choosing it; its advantages and disadvantages in the company's context; its result or impact (success or failure, and why).

Sessions 3–4 · Licensing basics 28 cards

Licensing: definition (Sessions 3–4)	A business arrangement where a licensor (IP owner) permits a licensee (foreign firm) to use its intellectual property (trademark, brand, technology) under agreed conditions.
The legal form of licensing	Governed by contract law and international IP treaties (e.g., the TRIPS Agreement).
The strategic purpose of licensing	Allows expansion with low risk and no capital investment by the licensor.
Industries where licensing is common	Pharmaceuticals, fashion, media, tech and sports.
The five types of licensing	Product, brand/trademark, technology, copyright and merchandise licensing.
Product licensing and its example	The licensee can produce and sell a product based on the licensor's technology or design. Example: Apple licensing Lightning connector technology.
Brand/trademark licensing and its example	The licensee uses the brand name or logo for marketing or packaging. Example: McDonald's toys featuring Marvel characters.

Technology licensing and its example	Allows use of proprietary software, hardware or patents. Example: ARM Holdings licenses chip designs to Samsung.
Copyright licensing and its example	For content, images, books, music, etc. Example: Spotify licensing music from record labels.
Merchandise licensing and its example	Selling goods under another company's branding. Example: FIFA World Cup jerseys and merchandise.
The eight core clauses of a licensing agreement	IP scope, territory, exclusivity, duration, royalty terms, quality control, termination, renewal & transferability.
IP scope and territory clauses	IP scope: clearly defines what IP is being licensed (e.g., trademark, patent). Territory: limits geographical use (e.g., 'license valid only in Southeast Asia').
Exclusivity and duration clauses	Exclusivity: determines if one or many licensees can use the IP in a region. Duration: the agreement period (e.g., 3 years, renewable).
The three questions under royalty terms	Percentage of sales or flat fee? Monthly or annual reporting? Audit rights?
Quality control and termination clauses	Quality control: the licensor may inspect operations to maintain brand reputation. Termination: defines breach conditions, exit rights and dispute resolution.
Renewal & transferability clause	Specifies renewal terms and whether the rights can be sold or transferred.
Benefits of licensing for the licensor	Quick market entry; low financial risk; revenue via royalties.
Limitations of licensing for the licensor	Limited control over operations; risk of brand dilution.
Benefits of licensing for the licensee	Access to a reputable brand or tech; faster time-to-market; support from the licensor (sometimes).
Limitations of licensing for the licensee	Dependent on the licensor's terms; royalty costs may reduce profit margin.

Disney case: type of licensing and licensor	Brand and merchandise licensing; licensor: The Walt Disney Company.
Disney case: licensees, scope and royalties	Licensees: toy companies and apparel producers (e.g., Hasbro, LEGO). Scope: global. Royalties: based on product sales.
Disney case: three strategic outcomes	Generated billions in revenue with minimal manufacturing risk; expanded reach into local markets (themed toys, school supplies, clothing); maintains strict quality and branding controls to protect its IP.
ARM Holdings: what it does instead of making chips	It designs processor architectures for smartphones, tablets and IoT devices and licenses its IP to companies such as Apple, Qualcomm and Samsung.
ARM case: type of licensing and revenue model	Technology licensing; upfront licensing fees plus royalties per chip sold.
ARM case: scope and named licensees	Scope: worldwide use in chip design. Licensees: global tech manufacturers (Apple, Broadcom, MediaTek).
ARM case: three strategic outcomes	A global standard without owning factories; its architecture powers over 90% of smartphones globally; low capital requirement, high scalability business model.
The six parts of the Sessions 3–4 licensing assignment	Company overview; type of licensing used; licensing agreement highlights; strategic rationale; outcomes and challenges; your insights.

Sessions 5–6 · Strategic licensing 16 cards

Strategic licensing: definition	Licensing used as a deliberate strategy to achieve long-term competitive or market objectives, not just as a legal agreement.
Three key characteristics of strategic licensing	Part of market entry strategy; focus on brand/IP leverage; long-term business alignment.
The five strategic objectives of licensing	Market entry, revenue generation, brand extension, resource leverage, regulatory navigation.

Market entry and revenue generation objectives	Market entry: enter new regions with minimal investment. Revenue generation: earn royalties from existing IP/assets.
Brand extension, resource leverage and regulatory navigation objectives	Brand extension: expand global visibility through partners. Resource leverage: use the local partner's infrastructure and market knowledge. Regulatory navigation: enter markets with trade or ownership restrictions.
Licensing as a competitive strategy: the four uses	Offensive (first-mover advantage, brand dominance); defensive (block competitors, saturate market); cross-licensing (access complementary technology or brand); co-branding (enhance value perception and reach).
Strategic use of licensing at each product life cycle stage	Introduction: fast market entry to build awareness. Growth: rapid scale-up via partners. Maturity: sustain revenue with low investment. Decline: maximize remaining value through partners.
Four strategic criteria for a licensing partner	Market access and reputation; financial and operational capabilities; cultural and regulatory alignment; track record of compliance and performance.
Two evaluation tools for licensing partners	SWOT or TOWS analysis; partner scorecards.
The five strategic risks in licensing	IP misuse, reputation damage, quality control, loss of market control, legal/compliance risk.
Mitigation for IP misuse	Strong legal agreements, monitoring.
Mitigation for reputation damage	Partner vetting, brand guidelines.
Mitigation for quality control risk	Clear standards, audits.
Mitigation for loss of market control	Exclusivity terms, joint reviews.
Mitigation for legal/compliance risk	Local legal counsel, jurisdiction clauses.
The four points of the Sessions 5–6 essay (300–500 words)	Strategic reason for using licensing; partner selection considerations; risks faced and how they were managed; whether the strategy was successful, and why or why not.

Sessions 7–8 · Legal and ethical 28 cards

Four reasons legal and ethical issues matter in licensing	Licensing agreements are legally binding contracts; different countries have different IP laws; legal oversight ensures brand protection and ethical compliance; failure can result in lawsuits, IP theft or reputation damage.
The four types of IP relevant in licensing	Trademarks, patents, copyrights, trade secrets.
Trademarks: what they protect and examples	Brand names, logos, slogans. Examples: Nike logo, Coca-Cola font.
Patents: what they protect and an example	Inventions and technology. Example: smartphone chip design.
Copyrights: what they protect and examples	Creative content. Examples: software code, books, music.
Trade secrets: what they are and an example	Confidential business information. Example: the Coca-Cola formula.
Key IP law and governing body for trademarks in the USA	Lanham Act (1946); USPTO (United States Patent and Trademark Office).
What the Lanham Act does	Enables trademark owners to sue for infringement and protect against unfair competition.
What the DMCA does, and its date and body	Protects digital content and service providers, allowing copyright holders to issue takedown notices. 1998; US Copyright Office.
EU IP law, its body and what it does	EU IP Directive & Regulations; EUIPO. Centralizes IP protection through unitary systems (fewer national filings), with stronger data protection, design rights and enforcement across member states.
TRIPS: origin and effective date	Part of the Uruguay Round of GATT negotiations; effective in 1995 (dated 1994 in the slides' table); governed by the WTO.
Three things TRIPS ensures countries do	Provide legal remedies for IP violations; maintain transparent procedures; do not unfairly discriminate between foreign and domestic rights holders.
TRIPS and developing countries	It includes flexibilities for developing countries, e.g., transition periods.

The four key international agreements named in Sessions 7–8	TRIPS; the Berne Convention (copyright); the Madrid Protocol (trademark registration); WIPO.
The four key issues international licensing regulations cover	Scope of rights; territory and duration; royalties and payment terms; dispute resolution mechanism.
The six legal clauses in licensing contracts (Sessions 7–8)	Grant of rights, territory and term, royalty clause, quality control, termination clause, jurisdiction/dispute resolution.
The question each legal clause answers	Grant of rights: what IP? Territory and term: where and how long? Royalty: how are payments made? Quality control: how is the brand monitored? Termination: conditions for ending. Jurisdiction: which country's law applies?
The four ethical issues in licensing	Exploitative agreements with low-income countries; misuse of cultural property or indigenous brands; lack of transparency in royalty reporting; licensing to partners involved in unethical labor practices.
The four ethical principles to follow in licensing	Fairness, transparency, cultural sensitivity, legal integrity.
The four points of the Sessions 7–8 country snapshot	Main types of IP protected; main IP regulatory authority; one key rule or legal distinction differing from or adding to TRIPS or EU/US law; an example of a licensing case.
The clause that answers 'which country's law applies?'	Jurisdiction/dispute resolution.
Apple vs. Qualcomm: the issue	Disagreement on patent licensing fees: Qualcomm charged royalties based on the full price of the device, not just the chip's value, which Apple called excessive.
What Apple accused Qualcomm of	Anti-competitive practices and double-dipping: charging both for chips and for licenses.
Qualcomm's position in the case	A leading chipmaker holding key standard-essential patents (SEPs) for mobile communication technologies like 4G LTE.

Legal actions in Apple vs. Qualcomm	Apple sued in the US, China, Germany and other countries; Qualcomm counter-sued for patent infringement and demanded product bans; courts in China and Germany temporarily banned some iPhone models; antitrust regulators (US FTC, EU, Korea) investigated.
Terms of the April 2019 settlement	Apple paid an undisclosed sum (estimated $4.5–$6 billion); a new six-year licensing agreement with an optional two-year extension; Qualcomm resumed supplying chips for iPhones.
The four lessons of Apple vs. Qualcomm	Legal clarity is critical; IP value must be carefully negotiated; global disputes need global awareness; settlements may be more strategic than litigation.
Why 'global disputes need global awareness'	IP laws vary by country; what is enforceable in one jurisdiction may be banned in another.

Sessions 9–10 · Franchising basics 13 cards

Franchising: definition (Sessions 9–10)	A business model where one party (franchisor) grants another (franchisee) the rights to operate under its brand and sell its products or services in exchange for a fee and royalties.
Three characteristics of franchising	Shared brand identity; ongoing support and training; fee-based structure (initial and royalty).
The two types of franchising	Product franchising and business format franchising.
Product franchising and its examples	Focuses on selling the franchisor's products; the franchisee often gets exclusive rights. Examples: car dealerships (Toyota), soft drink bottlers (Coca-Cola).
Business format franchising and its examples	The franchisee adopts a complete business system including branding, operations and marketing. Examples: McDonald's, Starbucks, 7-Eleven.
The two fee types in franchising	An initial fee and royalties.

Role of the franchisor	Owns brand, trademarks, business system; provides training, marketing, systems; maintains quality and brand consistency; innovates and updates product/service.
Role of the franchisee	Uses the brand to operate a local business; pays fees/royalties and follows guidelines; operates the day-to-day business; implements the system locally.
Four franchisor responsibilities	Provide brand standards; offer initial and ongoing training; deliver marketing support; maintain product quality and updates.
Four franchisee responsibilities	Pay fees (franchise + royalty); follow operating standards; protect brand reputation; report financials and performance.
Three benefits of franchising for franchisors	Rapid market expansion; revenue from franchise fees; lower capital investment.
Three benefits of franchising for franchisees	Access to a proven business model; brand recognition; support and training provided.
The Sessions 9–10 assignment	Choose a franchise brand; identify whether it is a product or business format franchise; list at least 3 duties of the franchisor and 3 of the franchisee; present the findings.

Sessions 11–12 · Franchise development 17 cards

International franchise development: definition	Expanding a brand's presence in foreign markets using franchising models.
Four goals of international franchise development	Gain international market access; replicate business success abroad; minimize risk and capital investment; adapt to cultural and regulatory conditions.
The four key franchise development strategies	Direct franchising, master franchising, area development, joint ventures.
Direct franchising: description and when to use	The franchisor signs agreements directly with foreign franchisees. For close control in nearby or similar markets.
Master franchising: description and when to use	Grants a country/region-level partner the right to develop sub-franchisees. For markets needing local leadership and scalability.

Area development: description and when to use	Grants a partner rights to open multiple units in a defined area. For rapid growth in targeted regions.
Joint venture (franchising): description and when to use	Partnering with a local firm to co-own the franchise. In markets with high entry barriers or regulations.
Master franchising: definition	A franchisor gives one franchisee (the master franchisee) the right to develop and sub-franchise within a territory, usually a country or large region.
Four responsibilities of a master franchisee	Recruit and train sub-franchisees; provide local support; ensure brand consistency; share revenue with the franchisor.
Brands named as using master franchising	Subway, Baskin-Robbins, McDonald's (in some markets).
Area development: definition	A franchisee is given the right to open and operate multiple franchise outlets within a specific territory (city, state or region) within a set timeframe.
Four features of area development	No sub-franchising allowed; franchisee owns and manages all outlets; common in early-stage international expansion; used by Starbucks (selected markets) and Domino's Pizza.
Master franchising vs. area development: sub-franchise rights and investment	Sub-franchise rights: allowed vs. not allowed. Investment scope: medium to high vs. high.
Master franchising vs. area development: speed and control	Speed of expansion: faster vs. slower. Control by franchisor: lower vs. moderate.
Domino's India case	Master franchise: Jubilant FoodWorks holds the master franchise rights, is responsible for all stores and sub-franchisees, and its local adaptation led to successful expansion.
7-Eleven Thailand case	Area development: one company (CP All) operates all stores in a defined territory, with uniformity in management and growth pacing.

Four strategic considerations in choosing a franchise model	Cultural alignment (partners must understand consumer behavior); legal framework (contract compliance and IP protection); market maturity (advanced markets may support area developers, emerging ones may need master franchising); brand control (more control often means slower expansion).

Sessions 13–14 · Franchise law 21 cards

Franchise agreement: definition	A legally binding contract between a franchisor and a franchisee that outlines rights, responsibilities and operational terms.
Four purposes of a franchise agreement	Protect intellectual property; ensure brand consistency; govern the relationship over time; minimize legal disputes.
The eight standard clauses in franchise agreements	Grant of rights, territory, term & renewal, fees & royalties, training & support, brand standards, termination & exit, dispute resolution.
Grant of rights and territory clauses (franchise)	Grant of rights: defines the franchisee's right to use the brand, logo and system. Territory: specifies the area of operation (exclusive or non-exclusive).
Fees & royalties clause	Outlines the initial franchise fee, ongoing royalties and advertising fees.
Training & support and brand standards clauses	Training & support: the franchisor's obligations for training and operational support. Brand standards: ensure quality and consistency in products/services.
Termination & exit and dispute resolution clauses (franchise)	Termination & exit: conditions under which the agreement can be ended. Dispute resolution: jurisdiction, arbitration or court selection in case of conflict.
The Sessions 13–14 assignment	Review the sample franchise agreement; identify 5 standard clauses; for each, explain its function and the risk if vague, missing or biased; suggest one additional clause or modification.

FDD: definition	Franchise disclosure document: a legal disclosure document required in many countries (e.g., USA) that gives prospective franchisees key information about the franchisor and the franchise system.
Three purposes of an FDD	Protect prospective franchisees; promote transparency and informed decision-making; comply with franchise laws and regulations.
The eight key sections of an FDD (slides' numbering)	1 Franchisor background; 2 Litigation history; 3 Initial and ongoing fees; 4 Estimated initial investment; 5 Obligations of franchisee; 6 Territory rights; 7 Financial performance representations; 8 Financial statements.
When the FDD must be provided in the USA	At least 14 days before a franchise agreement is signed.
FDD sections 7 and 8	7 Financial performance representations: earnings claims (if provided). 8 Financial statements: audited reports of the franchisor.
Franchise law and FDD requirement: USA and Indonesia	USA: Federal Trade Commission (FTC); FDD required. Indonesia: Ministry of Trade, Regulation No. 71/2019; FDD required.
Franchise law and FDD requirement: UK and Australia	UK: no specific law, follows contract law; FDD not required, voluntary under the BFA. Australia: Franchising Code of Conduct; FDD required.
Four legal risks in franchise agreements	Unclear territory boundaries; misrepresentation in the FDD; insufficient dispute resolution mechanisms; lack of enforcement in international jurisdictions.
Three mitigations for franchise legal risks	Consult legal experts; use standardized contract templates; follow country-specific disclosure rules.
Burgerim: the business and its sales	A US-based fast-food franchise marketing customizable mini-burgers; between 2016 and 2019 it aggressively sold over 1,500 franchise units, including to first-time owners and military veterans.
What Burgerim omitted from its FDDs	Financial performance data; realistic costs and failure rates; operating difficulties experienced by prior franchisees.

The rule Burgerim violated	The FTC Franchise Rule, which mandates full disclosure before signing a franchise agreement.
The outcome of the Burgerim case	Numerous franchisees lost thousands of dollars, many without opening a restaurant; in 2021 the FTC sued Burgerim and founder Oren Loni for deceptive business practices; the company later filed for bankruptcy.

Abbreviations 25 cards

4G	Fourth generation (of mobile communication technology), as in 4G LTE
BFA	British Franchise Association: under it, franchise disclosure in the UK is voluntary
CILO	Course intended learning outcome: the three outcomes the course is built around
DMCA	Digital Millennium Copyright Act (USA, 1998): protects digital content and service providers; copyright holders can issue takedown notices
EU	European Union
EUIPO	European Union Intellectual Property Office: the governing body for the EU IP Directive and Regulations
FDD	Franchise disclosure document: a legal document giving prospective franchisees key information about the franchisor and the system; in the USA, provided at least 14 days before signing
FIFA	Fédération Internationale de Football Association: its World Cup jerseys and merchandise are the slides' example of merchandise licensing
FTC	Federal Trade Commission (USA): the US franchise authority; it enforces the FTC Franchise Rule and sued Burgerim in 2021
GATT	General Agreement on Tariffs and Trade: TRIPS was part of its Uruguay Round of negotiations

IoT	Internet of Things: one of the device types that use ARM's processor architectures
IP	Intellectual property: trademarks, patents, copyrights and trade secrets; what a licensor permits a licensee to use
JV	Joint venture: partnering with a local firm to co-own the business (in franchising, to co-own the franchise)
LMS	Learning management system: where the sample franchise agreement for the Sessions 13–14 assignment is distributed
LTE	Long-Term Evolution, as in 4G LTE: a mobile communication technology for which Qualcomm holds standard-essential patents
SEP	Standard-essential patent: a patent on technology a standard requires, such as Qualcomm's patents for 4G LTE
SWOT	Strengths, weaknesses, opportunities, threats: an analysis used to evaluate a licensing partner
TOWS	Threats, opportunities, weaknesses, strengths: an analysis named with SWOT as a partner evaluation tool
TRIPS	Trade-Related Aspects of Intellectual Property Rights: the 1994 WTO agreement, effective 1995, setting IP rules for member countries
UK	United Kingdom
US	United States
USA	United States of America
USPTO	United States Patent and Trademark Office: the governing body for the Lanham Act
WIPO	World Intellectual Property Organization: listed with TRIPS, the Berne Convention and the Madrid Protocol among key international instruments
WTO	World Trade Organization: the governing body for the TRIPS Agreement

Self-check quiz

Pick an answer for each question, then check yourself against the answers and explanations that follow.

1. **Which course intended learning outcome (CILO) is about identifying legal, financial and operational factors affecting international business collaborations?**
   A. CILO 1
   B. CILO 3
   C. CILO 2
   D. None; the course has no legal outcome

2. **Which entry strategy, though in the course title, has no session deck of its own in the course folder?**
   A. Strategic alliances
   B. Licensing
   C. Franchising
   D. Master franchising

3. **Which is NOT one of the four reasons the slides give for entering international markets?**
   A. Access new customers
   B. Spread risk across markets
   C. Gain competitive advantage
   D. Avoid domestic taxes

4. **How do the slides define a strategic alliance?**
   A. Letting a foreign party run a business under your system and brand
   B. Permitting a foreign company to use your intellectual property
   C. Collaboration between two or more firms to pursue mutual goals while remaining independent
   D. Merging two firms into one company to share markets

5. Which pair lists the challenges of franchising given in Sessions 1–2?

A. Loss of control and potential IP misuse
B. Franchisee quality control and dependency
C. Limited control and trade barriers
D. Complex coordination and possible conflict

6. Indirect exporting means that the company

A. uses intermediaries to export
B. handles exporting itself
C. opens its own branches abroad
D. licenses its brand to a foreign firm

7. According to the strategy comparison table, which strategy requires a medium–high investment?

A. Exporting
B. Licensing
C. Franchising
D. Strategic alliance

8. Which best use case does the comparison table give for exporting?

A. Entering IP-intensive industries
B. Service businesses seeking global scale
C. Testing foreign demand
D. Complex markets requiring local support

9. In the comparison table, control in a strategic alliance is rated

A. Low
B. Shared
C. Medium
D. High

10. Which company is the slides' example of a strategic alliance used to enter India?

A. Starbucks + Tata
B. Indomie
C. McDonald's
D. Disney

11. Which describes indirect entry?

A. Opening own subsidiaries
B. Setting up local branches
C. Starbucks opening its own stores
D. Using agents, distributors or partners

12. Why is direct entry slower, according to the comparison table?

A. It relies on third parties
B. Its market knowledge is filtered through intermediaries
C. It requires physical establishment
D. Its risk is passed to partners

13. Which is a disadvantage of indirect entry?

A. High setup and operational cost
B. Limited market insight
C. Slower to enter market
D. Full exposure to local risks

14. On the criterion of market knowledge, direct entry is rated high because it gives

A. direct access to consumers and insights
B. access to existing networks
C. risk shared with partners
D. minimal investment

15. In licensing, the licensor is

A. the foreign firm that uses the IP
B. the government body that registers the IP
C. a distributor that resells the licensee's goods
D. the IP owner who permits another firm to use the IP

16. Which international treaty do the slides name as governing licensing alongside contract law?

A. The Lanham Act
B. The Franchising Code of Conduct
C. The TRIPS Agreement
D. The Madrid Protocol only

17. Spotify licensing music from record labels is the slides' example of which type of licensing?

A. Brand / trademark licensing
B. Copyright licensing
C. Merchandise licensing
D. Product licensing

18. McDonald's toys featuring Marvel characters illustrate

A. brand / trademark licensing
B. technology licensing
C. copyright licensing
D. product franchising

19. Which clause determines whether one or many licensees can use the IP in a region?

A. Territory
B. IP scope
C. Renewal & transferability
D. Exclusivity

20. Questions such as '% of sales or flat fee?' and 'Audit rights?' belong to which clause?

A. Quality control
B. Duration
C. Royalty terms
D. Termination

21. Which is a limitation of licensing for the licensor?

A. Royalty costs may reduce profit margin
B. Risk of brand dilution
C. Dependent on the licensor's terms
D. Slower time-to-market

22. Which is a benefit of licensing for the licensee?

A. Faster time-to-market
B. Revenue via royalties
C. Low financial risk from royalties received
D. Quick market entry without any payments

23. How are Disney's licensing royalties calculated, according to the case?

A. As a fixed annual fee per character
B. As a share of Disney's park revenue
C. Per unit manufactured, regardless of sales
D. Based on product sales

24. What is ARM Holdings' revenue model?

A. Selling chips it manufactures in its own factories
B. A flat annual fee per licensee only
C. Upfront licensing fees plus royalties per chip sold
D. Royalties on the full price of each smartphone

25. Which outcome do the slides report for ARM?

A. It became the largest chip manufacturer by factory output
B. Its architecture powers over 90% of smartphones globally
C. It generated billions with minimal manufacturing risk from toys
D. It lost its licensees after a patent dispute

26. How does Disney protect its IP while licensing worldwide?

A. It maintains strict quality and branding controls
B. It manufactures all merchandise in-house
C. It licenses only within the United States
D. It avoids royalties to keep partners loyal

27. Strategic licensing is licensing used

A. only as a legal agreement to collect royalties
B. only when a product is in decline
C. to transfer ownership of IP to the licensee
D. as a deliberate strategy for long-term competitive or market objectives

28. Which strategic objective means entering markets with trade or ownership restrictions?

A. Resource leverage
B. Brand extension
C. Regulatory navigation
D. Market entry

29. Blocking competitors and saturating the market describes which competitive use of licensing?

A. Offensive strategy
B. Defensive strategy
C. Cross-licensing
D. Co-branding

30. At which product life cycle stage is licensing used to 'sustain revenue with low investment'?

A. Maturity
B. Introduction
C. Growth
D. Decline

31. Gaining access to complementary technology or brand is the aim of

A. co-branding
B. offensive licensing
C. brand extension
D. cross-licensing

32. Which is one of the four strategic criteria for selecting a licensing partner?

A. Lowest royalty rate offered
B. Same home country as the licensor
C. Cultural and regulatory alignment
D. Willingness to buy the IP outright

33. Which evaluation tools do the slides name for selecting a licensing partner?

A. Partner scorecards and the FDD
B. SWOT or TOWS analysis and partner scorecards
C. Product life cycle analysis and royalty audits
D. The Lanham Act and the DMCA

34. What mitigation do the slides give for the risk of loss of market control?

A. Exclusivity terms, joint reviews
B. Clear standards, audits
C. Partner vetting, brand guidelines
D. Local legal counsel, jurisdiction clauses

35. Strong legal agreements and monitoring mitigate which licensing risk?

A. Reputation damage
B. Quality control
C. Loss of market control
D. IP misuse

36. Which type of IP protects brand names, logos and slogans?

A. Patents
B. Copyrights
C. Trademarks
D. Trade secrets

37. The Coca-Cola formula is the slides' example of

A. a patent
B. a trade secret
C. a trademark
D. a copyright

38. Software code is protected as which type of IP, according to the slides?

A. Copyright
B. Patent
C. Trademark
D. Trade secret

39. Which body governs the TRIPS Agreement?

A. WIPO
B. USPTO
C. EUIPO
D. WTO

40. What does the DMCA allow copyright holders to do?

A. Sue for trademark infringement
B. Register trademarks internationally
C. Issue takedown notices
D. File one unitary EU-wide patent

41. Which is NOT among the things TRIPS ensures countries do?

A. Provide legal remedies for IP violations
B. Charge equal royalty rates in every country
C. Maintain transparent procedures
D. Not unfairly discriminate between foreign and domestic rights holders

42. The Madrid Protocol is listed in the slides for

A. trademark registration
B. copyright
C. patent dispute resolution
D. franchise disclosure

43. Which legal clause answers 'Which country's law applies?'

A. Grant of rights
B. Territory and term
C. Termination clause
D. Jurisdiction/dispute resolution

44. Which is listed as an ethical issue in licensing?

A. Charging royalties at all
B. Licensing to more than one partner
C. Lack of transparency in royalty reporting
D. Using contract law for agreements

45. Which is NOT one of the four ethical principles to follow in licensing?

A. Fairness
B. Exclusivity
C. Cultural sensitivity
D. Legal integrity

46. What was Apple's main objection to Qualcomm's licensing model?

A. Royalties were based on the full price of the device, not just the chip
B. Qualcomm refused to license 4G LTE patents to Apple
C. Qualcomm charged a flat fee per year
D. Qualcomm licensed only within the United States

47. **'Double-dipping' in the case means**

A. suing in two countries at once
B. licensing the same patent to two rivals
C. paying royalties twice by mistake
D. charging both for chips and for licenses

48. **Which was a term of the April 2019 settlement?**

A. Qualcomm paid Apple an estimated $4.5–$6 billion
B. Qualcomm stopped supplying chips for iPhones
C. A new six-year licensing agreement with an optional two-year extension
D. A permanent ban on iPhones in Germany

49. **Which lesson from the case says that prolonged lawsuits can damage both financials and operations?**

A. Legal clarity is critical
B. Settlements may be more strategic than litigation
C. IP value must be carefully negotiated
D. Global disputes need global awareness

50. **In franchising, the franchisee pays the franchisor**

A. a fee and royalties
B. only a one-off purchase price for the brand
C. a share of the franchisor's profits
D. nothing, in exchange for exclusive territory

51. **Which is NOT one of the three characteristics of franchising on the slides?**

A. Shared brand identity
B. Ongoing support and training
C. Fee-based structure
D. Joint ownership of each outlet

52. **Toyota car dealerships are the slides' example of**

A. business format franchising
B. master franchising
C. product franchising
D. technology licensing

53. In business format franchising, the franchisee

A. only sells the franchisor's products, often exclusively
B. adopts a complete business system including branding, operations and marketing
C. licenses a single patent
D. co-owns the franchise with a local firm

54. Which is a franchisee responsibility?

A. Report financials and performance
B. Offer initial and ongoing training
C. Deliver marketing support
D. Maintain product quality and updates

55. Which is a benefit of franchising for the franchisor?

A. Access to a proven business model
B. Brand recognition
C. Support and training provided
D. Lower capital investment

56. Who 'innovates and updates the product/service' in a franchise?

A. The franchisee
B. The master franchisee's sub-franchisees
C. The franchisor
D. The customers

57. Who 'operates the day-to-day business'?

A. The franchisor
B. The franchisee
C. The licensor
D. The regulator

58. Which is one of the four goals of international franchise development?

A. Adapt to cultural and regulatory conditions
B. Centralize all outlets under franchisor ownership
C. Avoid paying royalties
D. Replace local partners with franchisor staff

59. Which strategy suits close control in nearby or similar markets?

A. Master franchising
B. Area development
C. Joint venture
D. Direct franchising

60. In which markets do the slides recommend a joint venture?

A. Nearby or similar markets
B. Markets needing local leadership and scalability
C. Markets with high entry barriers or regulations
D. Targeted regions needing rapid growth

61. Granting a partner the right to open multiple units in a defined area describes

A. master franchising
B. area development
C. direct franchising
D. product franchising

62. The key difference between master franchising and area development is that

A. a master franchisee may sub-franchise, while an area developer may not
B. an area developer may sub-franchise, while a master franchisee may not
C. only area development covers a whole country
D. only master franchising requires a franchise agreement

63. According to the comparison table, control by the franchisor under area development is

A. Lower
B. High
C. None
D. Moderate

64. Who holds the master franchise rights for Domino's in India?

A. CP All
B. Tata
C. Jubilant FoodWorks
D. Burgerim

65. Which strategic consideration says 'more control often means slower expansion'?

A. Market maturity
B. Brand control
C. Cultural alignment
D. Legal framework

66. Per the strategic considerations, emerging markets may need

A. master franchising
B. area developers
C. direct franchising only
D. no franchising at all

67. Which is NOT one of the four purposes of a franchise agreement?

A. Protect intellectual property
B. Ensure brand consistency
C. Minimize legal disputes
D. Guarantee the franchisee's profits

68. Which clause outlines the initial franchise fee, ongoing royalties and advertising fees?

A. Grant of rights
B. Term & renewal
C. Fees & royalties
D. Training & support

69. Jurisdiction, arbitration or court selection in case of conflict is set by

A. termination & exit
B. dispute resolution
C. territory
D. brand standards

70. The territory clause in a franchise agreement specifies the area of operation, which may be

A. exclusive or non-exclusive
B. only exclusive
C. only nationwide
D. decided after signing

71. In the USA, the FDD must be provided at least how long before a franchise agreement is signed?

A. 7 days
B. 30 days
C. 90 days
D. 14 days

72. Which FDD section covers past or pending lawsuits involving the franchisor?

A. Franchisor background
B. Obligations of franchisee
C. Litigation history
D. Financial statements

73. Which country's franchise framework has no specific law, with disclosure voluntary under the BFA?

A. USA
B. UK
C. Indonesia
D. Australia

74. Which regulation do the slides give for franchising in Indonesia?

A. Ministry of Trade, Regulation No. 71/2019
B. Franchising Code of Conduct
C. FTC Franchise Rule
D. Lanham Act (1946)

75. Which is one of the four legal risks in franchise agreements?

A. Too many training sessions
B. Royalties paid on time
C. Use of standardized contract templates
D. Unclear territory boundaries

76. Which is a mitigation for legal risks in franchise agreements?

A. Avoid disclosure documents altogether
B. Rely on verbal agreements
C. Follow country-specific disclosure rules
D. Use a different contract for every franchisee

77. Which rule did Burgerim violate?

A. The Lanham Act
B. The FTC Franchise Rule
C. The DMCA
D. The Franchising Code of Conduct

78. Which information did Burgerim omit from its FDDs?

A. Realistic costs and failure rates
B. The name of its brand
C. Its menu prices
D. Its trademark registration number

79. Which four points does the Sessions 1–2 assignment ask students to explain for each company?

A. Overview, licensing type, clauses, insights
B. IP types, authority, key rule, case
C. Clause function, risk if vague, added clause, conclusion
D. Strategy used, reason, advantages and disadvantages in context, result or impact

80. Which assignment asks students to suggest an alternative franchise model and justify it?

A. Sessions 9–10
B. Sessions 13–14
C. Sessions 11–12
D. Sessions 5–6

Answers and explanations

1. **B.** CILO 3 covers legal, financial and operational factors and is named in Sessions 7–8 and 13–14. CILO 1 is defining foundational principles; CILO 2 is evaluating entry strategies.
2. **A.** Strategic alliances are defined and compared only in the Sessions 1–2 overview; licensing has Sessions 3–8 and franchising Sessions 9–14.
3. **D.** The four reasons are access new customers, increase revenue, gain competitive advantage and spread risk across markets. Taxes are not mentioned.
4. **C.** Remaining independent is the key part of the definition. The first two wrong options are the definitions of franchising and licensing.
5. **B.** Franchising's challenges are franchisee quality control and dependency. The others are the challenges of licensing, exporting and strategic alliances.
6. **A.** Direct exporting is handled by the company itself; indirect exporting uses intermediaries.
7. **D.** Investment is low for exporting and licensing, medium for franchising and medium–high for a strategic alliance.
8. **C.** Exporting suits testing foreign demand. The other options are the best use cases of licensing, franchising and alliances.
9. **B.** Alliance control is shared between the partners. Exporting and licensing are low and franchising is medium; no strategy is rated high.
10. **A.** Starbucks formed an alliance with Tata to enter India, with Tata handling sourcing and operations. Indomie exports, Disney licenses and McDonald's franchises.
11. **D.** Indirect entry works through agents, distributors or partners. Own subsidiaries, branches and Starbucks' own stores are direct entry.
12. **C.** Direct entry is slower because the company must establish itself physically. The wrong options describe features of indirect entry.
13. **B.** Indirect entry gives limited market insight, along with low control and reliance on third parties. The other three are disadvantages of direct entry.
14. **A.** Direct entry means direct access to consumers and insights; under indirect entry, knowledge is filtered through intermediaries.
15. **D.** The licensor owns the intellectual property; the licensee is the foreign firm permitted to use it.

16. **C.** Licensing is governed by contract law and international IP treaties, e.g., TRIPS. The Lanham Act is a US law and the Franchising Code of Conduct is Australian franchise law.
17. **B.** Copyright licensing covers content, images, books and music, such as music licensed from record labels.
18. **A.** The licensee uses the brand name or logo (Marvel characters) for marketing or packaging, which is brand/trademark licensing.
19. **D.** Exclusivity decides one or many licensees. Territory limits geographical use; IP scope defines what IP is licensed.
20. **C.** Royalty terms cover the payment basis, monthly or annual reporting, and audit rights.
21. **B.** For the licensor the limits are limited control and brand dilution. Royalty costs and dependence on terms are limitations for the licensee.
22. **A.** The licensee gains access to a reputable brand or tech, faster time-to-market and sometimes support. Revenue via royalties is the licensor's benefit.
23. **D.** The case lists royalties as based on product sales.
24. **C.** ARM earns upfront licensing fees plus royalties per chip sold, and owns no factories.
25. **B.** ARM became a global standard without owning factories and powers over 90% of smartphones. Billions with minimal manufacturing risk is Disney's outcome.
26. **A.** The case states Disney maintains strict quality and branding controls to protect its IP; it does not produce all merchandise in-house.
27. **D.** The slides stress that strategic licensing is a deliberate long-term strategy, not just a legal agreement.
28. **C.** Regulatory navigation is entering restricted markets. Market entry is entering new regions with minimal investment; resource leverage uses a partner's infrastructure.
29. **B.** Defensive licensing blocks competitors and saturates the market. Offensive aims at first-mover advantage and brand dominance.
30. **A.** Introduction: fast entry to build awareness; growth: rapid scale-up; maturity: sustain revenue with low investment; decline: maximize remaining value.
31. **D.** Cross-licensing gives access to complementary technology or brand; co-branding enhances value perception and reach.
32. **C.** The four criteria are market access and reputation, financial and operational capabilities, cultural and regulatory alignment, and a track record of compliance and performance.

33. **B.** The two tools are SWOT or TOWS analysis and partner scorecards.
34. **A.** Loss of market control is met with exclusivity terms and joint reviews. The other options mitigate quality control, reputation damage and legal/compliance risk.
35. **D.** IP misuse is mitigated by strong legal agreements and monitoring.
36. **C.** Trademarks protect brand names, logos and slogans, e.g., the Nike logo and the Coca-Cola font.
37. **B.** Trade secrets are confidential business information, like the Coca-Cola formula. The Coca-Cola font is the trademark example.
38. **A.** Copyrights protect creative content: software code, books and music.
39. **D.** TRIPS is governed by the World Trade Organization. USPTO goes with the Lanham Act and EUIPO with the EU IP Directive.
40. **C.** The DMCA protects digital content and service providers and allows takedown notices. Suing for trademark infringement is the Lanham Act.
41. **B.** TRIPS ensures remedies, transparency and non-discrimination, with flexibilities for developing countries. Royalty rates are not on the list.
42. **A.** The slides list the Berne Convention for copyright and the Madrid Protocol for trademark registration.
43. **D.** Jurisdiction/dispute resolution decides which country's law applies. Territory and term answer where and for how long.
44. **C.** The four ethical issues are exploitative agreements with low-income countries, misuse of cultural property or indigenous brands, lack of transparency in royalty reporting, and licensing to partners with unethical labor practices.
45. **B.** The principles are fairness, transparency, cultural sensitivity and legal integrity. Exclusivity is a contract clause.
46. **A.** Qualcomm charged royalties based on the full device price, which Apple claimed was excessive, and Apple accused it of double-dipping.
47. **D.** Apple accused Qualcomm of double-dipping: charging both for chips and licenses.
48. **C.** Apple paid Qualcomm (not the other way round), a six-year agreement with an optional two-year extension was signed, and Qualcomm resumed supplying chips.
49. **B.** That is the explanation given for 'settlements may be more strategic than litigation'.
50. **A.** The definition says the rights are granted in exchange for a fee and royalties; the fee-based structure is initial plus royalty.
51. **D.** The three characteristics are shared brand identity, ongoing support and training, and a fee-based structure.

52. **C.** Product franchising focuses on selling the franchisor's products, e.g., car dealerships (Toyota) and soft drink bottlers (Coca-Cola).
53. **B.** Business format franchising (McDonald's, Starbucks, 7-Eleven) passes on the whole system; product franchising passes on products.
54. **A.** The franchisee pays fees, follows standards, protects the brand and reports financials. The other options are franchisor responsibilities.
55. **D.** Franchisors gain rapid expansion, fee revenue and lower capital investment; the other options are franchisee benefits.
56. **C.** The franchisor owns the system and innovates and updates the product or service; the franchisee implements the system locally.
57. **B.** The franchisee uses the brand to run the local business day to day.
58. **A.** The goals are market access, replicating success abroad, minimizing risk and capital investment, and adapting to cultural and regulatory conditions.
59. **D.** Direct franchising, where the franchisor signs directly with foreign franchisees, is for close control in nearby or similar markets.
60. **C.** Joint ventures suit high barriers or regulations; the other options match direct franchising, master franchising and area development.
61. **B.** Area development grants rights to open multiple units in a defined area; master franchising grants rights to develop sub-franchisees.
62. **A.** Sub-franchise rights are allowed in master franchising and not allowed in area development, where the franchisee owns and manages all outlets.
63. **D.** Control is lower under master franchising and moderate under area development.
64. **C.** Jubilant FoodWorks holds the rights and is responsible for all stores and sub-franchisees; CP All operates 7-Eleven in Thailand.
65. **B.** Brand control: more control often means slower expansion. Market maturity concerns advanced versus emerging markets.
66. **A.** Advanced markets may support area developers; emerging ones may need master franchising.
67. **D.** The purposes are protecting IP, ensuring brand consistency, governing the relationship over time and minimizing legal disputes.
68. **C.** Fees & royalties outlines all three; grant of rights defines the right to use the brand, logo and system.
69. **B.** The dispute resolution clause covers jurisdiction, arbitration or court selection.

70. **A.** The territory clause specifies the geographical area of operation, exclusive or non-exclusive.
71. **D.** The slides note that in the USA the FDD must be provided at least 14 days before signing.
72. **C.** Section 2 on the slides, litigation history, covers past or pending lawsuits.
73. **B.** The UK follows contract law and disclosure is voluntary under the BFA. The USA, Indonesia and Australia require an FDD.
74. **A.** Indonesia: Ministry of Trade, Regulation No. 71/2019, with an FDD required. The Franchising Code of Conduct is Australia's.
75. **D.** The risks are unclear territory boundaries, misrepresentation in the FDD, insufficient dispute resolution and lack of international enforcement. Standardized templates are a mitigation.
76. **C.** The three mitigations are consulting legal experts, using standardized contract templates and following country-specific disclosure rules.
77. **B.** Burgerim violated the FTC Franchise Rule, which mandates full disclosure before signing a franchise agreement.
78. **A.** It omitted financial performance data, realistic costs and failure rates, and the operating difficulties of prior franchisees.
79. **D.** The Sessions 1–2 assignment asks for strategy, reason, advantages/disadvantages and result. The wrong options summarize the Sessions 3–4, 7–8 and 13–14 assignments.
80. **C.** Sessions 11–12 ask which of direct, master or area development a brand used, why it fit, and an alternative.

Mock exam

A full practice paper to answer in 120 minutes. Answer all questions. Marks are shown for each question and total 100. Use the course's own terms, lists and tables by name, support your points with the companies and cases from the slides, and sketch a diagram where it helps your answer. This is a practice paper: the course folder gives no details of the real exam's format. Write your answer on paper first, then turn to the model answers and compare. Each question links to the chapters it draws on.

Section A · Concepts (50 marks)

Q1. Explain the difference between direct and indirect entry into a foreign market. Compare the two on the five criteria the course uses and give the course's example of each. [10 marks]

Q2. Define licensing as the course defines it, including its legal form and strategic purpose. Then explain the five types of licensing, giving the course's example of each. [10 marks]

Q3. Describe the four types of intellectual property relevant in licensing, with examples, and explain the main IP protection laws the course names for the USA, the EU and the global level, with their governing bodies. [10 marks]

Q4. Distinguish product franchising from business format franchising, with examples, and set out the responsibilities of the franchisor and of the franchisee. [10 marks]

Q5. Summarize the Apple vs. Qualcomm patent dispute: the issue, the legal actions, the outcome and the lessons the course draws from it. [10 marks]

Section B · Application (50 marks)

Q6. Using the course's strategy comparison table, explain when a company should choose exporting, licensing, franchising or a strategic alliance to enter an international market. Illustrate each strategy with the company example the course gives, and state the main advantages and challenges of each. [15 marks]

Q7. Scenario (invented for practice): an animation studio owns a popular cartoon character and plans to license it to a toy and apparel maker in Southeast Asia. Using the course's frameworks, explain (a) the core clauses its licensing agreement should contain, (b) how it should select its licensing partner, and (c) the main risks it faces and how to mitigate them. Refer to the Disney case where relevant. [15 marks]

Q8. Compare master franchising and area development as ways to develop a franchise internationally. Use the course's comparison table, its strategic considerations and the Domino's India and 7-Eleven Thailand cases. [10 marks]

Q9. Explain what a franchise disclosure document (FDD) is, why it is required and what it contains. Then use the FTC v. Burgerim case to show the legal risks of failing to disclose properly, and the mitigations the course recommends. [10 marks]

Model answers

Q1

Direct entry means a company enters a foreign market through its own operations: its own subsidiaries or local branches. Indirect entry means it enters through others: agents, distributors or partners. The course's example of direct entry is Starbucks opening its own stores; its example of indirect entry is local distributors selling a domestic product overseas.

The two are compared on five criteria. On control, direct entry is high, because the company owns its operations and makes its own decisions, while indirect entry is low, because agents or partners do the work. On cost, direct entry is high, because of setup and operational investment, while indirect entry needs minimal investment. On speed, direct entry is slower, because it requires physical establishment, while indirect entry is faster, because it leverages existing networks. On market knowledge, direct entry is high, with direct access to consumers and insights, while under indirect entry knowledge is low because it is filtered through intermediaries. On risk, direct entry is higher, with full exposure to local challenges, while indirect entry is lower, because risk is shared with or passed to partners.

The advantages and disadvantages follow from this. Direct entry gives high control over operations and branding, a strong market presence and direct customer feedback, at the cost of high setup and operational cost, slower entry and full exposure to local risks. Indirect entry gives low investment cost, faster market access and lower operational risk, at the cost of low control over branding and customer experience, limited market insight and reliance on third parties.

Marking points

- Defines direct entry (own subsidiaries, local branches) and indirect entry (agents, distributors, partners)
- Compares all five criteria: control, cost, speed, market knowledge, risk
- Gives the reason behind each rating
- Starbucks' own stores vs. local distributors as examples

Revise: Direct versus indirect entry

Q2

Licensing is a business arrangement in which a licensor, the owner of intellectual property (IP), permits a licensee, a foreign firm, to use its IP, such as a trademark, a

brand or a technology, under agreed conditions. Its legal form is contract law together with international IP treaties such as the TRIPS Agreement. Its strategic purpose is to allow expansion with low risk and no capital investment by the licensor. It is common in pharmaceuticals, fashion, media, technology and sports.

The five types differ in what is licensed. In product licensing, the licensee produces and sells a product based on the licensor's technology or design; the course's example is Apple licensing its Lightning connector technology. In brand or trademark licensing, the licensee uses the brand name or logo for marketing or packaging, as with McDonald's toys featuring Marvel characters. Technology licensing allows the use of proprietary software, hardware or patents, as when ARM Holdings licenses chip designs to Samsung. Copyright licensing covers content, images, books and music, as with Spotify licensing music from record labels. Merchandise licensing means selling goods under another company's branding, as with FIFA World Cup jerseys and merchandise.

Marking points

- Licensor (IP owner) permits licensee (foreign firm) to use IP under agreed conditions
- Legal form: contract law and international IP treaties (TRIPS)
- Purpose: low risk, no capital investment by licensor
- All five types with correct examples

Revise: What licensing is: definition and five types

Q3

The course names four types of intellectual property (IP) relevant in licensing. Trademarks protect brand names, logos and slogans, such as the Nike logo or the Coca-Cola font. Patents protect inventions and technology, such as a smartphone chip design. Copyrights protect creative content, such as software code, books and music. Trade secrets are confidential business information, such as the Coca-Cola formula.

These rights are protected differently by region, which is why the course stresses that different countries have different IP laws. In the United States of America (USA), the Lanham Act (1946), governed by the United States Patent and Trademark Office (USPTO), enables trademark owners to sue for infringement and protect against unfair competition, and the Digital Millennium Copyright Act (DMCA, 1998), with the US Copyright Office, protects digital content and service providers

and lets copyright holders issue takedown notices. In the European Union (EU), the EU IP Directive and Regulations, with the European Union Intellectual Property Office (EUIPO), centralize IP protection through unitary systems, reducing the need for multiple national filings, with stronger data protection, design rights and enforcement across member states.

At the global level, the TRIPS Agreement (Trade-Related Aspects of Intellectual Property Rights, 1994), governed by the World Trade Organization (WTO), was part of the Uruguay Round of GATT negotiations and became effective in 1995. It ensures that countries provide legal remedies for IP violations, maintain transparent procedures and do not unfairly discriminate between foreign and domestic rights holders, and it includes flexibilities for developing countries such as transition periods. The course also lists the Berne Convention (copyright), the Madrid Protocol (trademark registration) and WIPO among the key international instruments.

Marking points

- Four IP types with examples
- Lanham Act + USPTO; DMCA + US Copyright Office
- EU IP Directive & Regulations + EUIPO and what it does
- TRIPS + WTO, 1994/1995, its three requirements and flexibilities

Revise: Why the law matters in licensing: four types of intellectual property · Intellectual property laws in the United States, Europe and worldwide

Q4

Franchising is a business model in which a franchisor grants a franchisee the rights to operate under its brand and to sell its products or services in exchange for a fee and royalties. It is marked by a shared brand identity, ongoing support and training, and a fee-based structure of an initial fee plus royalties.

The two types differ in what passes to the franchisee. Product franchising focuses on selling the franchisor's products, and the franchisee often gets exclusive rights; the course's examples are car dealerships such as Toyota's and soft drink bottlers such as Coca-Cola's. In business format franchising the franchisee adopts a complete business system, including branding, operations and marketing; the examples are McDonald's, Starbucks and 7-Eleven.

The franchisor, which owns the brand, trademarks and business system, has four responsibilities: to provide brand standards, to offer initial and ongoing training, to deliver marketing support, and to maintain product quality and updates. The

franchisee, which uses the brand to run a local business day to day, has four responsibilities: to pay fees (the franchise fee and royalties), to follow operating standards, to protect the brand's reputation, and to report financials and performance. These duties produce each side's benefits: the franchisor gains rapid market expansion, revenue from franchise fees and lower capital investment, and the franchisee gains a proven business model, brand recognition, and support and training.

Marking points

- Definition of franchising
- Product franchising: products, often exclusive; Toyota, Coca-Cola
- Business format: complete system; McDonald's, Starbucks, 7-Eleven
- Four franchisor and four franchisee responsibilities

Revise: What franchising is: definition, characteristics and two types · Who's who in franchising: roles, duties and benefits

Q5

Qualcomm is a leading chipmaker that holds key standard-essential patents (SEPs) for mobile communication technologies such as 4G LTE. Apple used Qualcomm's chips in iPhones but argued that Qualcomm's licensing model was unfair, because Qualcomm charged royalties based on the full price of the device rather than the value of the chip. Apple claimed this was excessive and accused Qualcomm of anti-competitive practices and double-dipping, that is, charging both for chips and for licenses.

The dispute spread across jurisdictions. Apple filed lawsuits in the United States, China, Germany and other countries. Qualcomm counter-sued for patent infringement and demanded product bans, and courts in China and Germany temporarily banned the sale of certain iPhone models because of patent violations. Antitrust regulators in several jurisdictions, including the US FTC, the EU and Korea, investigated.

In April 2019, after two years of legal battles, the two settled out of court. Apple agreed to pay Qualcomm an undisclosed sum estimated at $4.5–6 billion, a new six-year licensing agreement with an optional two-year extension was signed, and Qualcomm resumed supplying chips for iPhones.

The course draws four lessons. Legal clarity is critical, because ambiguous or overly aggressive licensing terms can result in multi-billion-dollar litigation. IP value must

be carefully negotiated, especially with standard-essential patents, where fair and transparent terms are crucial. Global disputes need global awareness, because IP laws vary by country and what is enforceable in one jurisdiction may be banned in another. And settlements may be more strategic than litigation, because prolonged lawsuits damage both financials and operations.

Marking points

- Issue: royalties on full device price; double-dipping; SEPs
- Legal actions in several countries; bans in China and Germany; antitrust probes
- Settlement terms (April 2019)
- All four lessons with their explanations

Revise: Case: Apple vs. Qualcomm, a patent licensing dispute

Q6

The course gives four reasons to enter international markets: to access new customers, increase revenue, gain competitive advantage and spread risk across markets. It then offers four entry strategies, which its comparison table rates on investment, control and risk and matches to a best use case.

Exporting, selling domestic products abroad, is rated low on investment, control and risk. Its best use case is testing foreign demand, and its advantages are low risk and easy entry, with limited control and trade barriers as its challenges. Indomie is the example: it exports instant noodles from Indonesia to more than 80 countries without local factories.

Licensing, permitting a foreign company to use your intellectual property, is low on investment and control but medium on risk. It suits entering IP-intensive industries. Its advantages are low cost and fast expansion; its challenges are loss of control and potential IP misuse. Disney is the example: it licenses its characters to global partners for merchandise production.

Franchising, letting a foreign party run a business under your system and brand, is medium on investment, control and risk, and suits service businesses seeking global scale. It is scalable and uses local knowledge, but brings the challenges of franchisee quality control and dependency. McDonald's is the example: it operates globally via franchisees under standard systems.

A strategic alliance, collaboration between two or more firms to pursue mutual goals while remaining independent, is medium–high on investment, shared on

control and medium on risk. It suits complex markets requiring local support. Its advantages are shared cost and risk and access to local market expertise; its challenges are complex coordination and possible conflict. Starbucks and Tata are the example: they formed an alliance to enter India, with Tata handling sourcing and operations.

The choice therefore depends on the company's aim and what it can commit: exporting to test demand cheaply, licensing to earn from IP, franchising to scale a service business, and an alliance where the market is complex and a local partner's support is needed.

Marking points

- Investment, control and risk ratings for all four strategies
- Best use case for each
- Advantages and challenges of each
- Indomie, Disney, McDonald's, Starbucks + Tata used correctly

Revise: Why go abroad, and four ways to do it · Choosing a route: investment, control and risk

Q7

This is brand and merchandise licensing, the same type as the Disney case, in which Disney licenses characters such as Mickey Mouse, Marvel heroes and Star Wars to toy companies and apparel producers such as Hasbro and LEGO, with royalties based on product sales.

(a) The agreement should contain the eight core clauses the course lists. The IP scope clause defines exactly what intellectual property is licensed, here the character as a trademark. The territory clause limits geographical use, for example a license valid only in Southeast Asia. The exclusivity clause decides whether one or many licensees may use the IP in the region. The duration clause sets the agreement period, for example three years, renewable. The royalty terms settle whether payment is a percentage of sales or a flat fee, whether reporting is monthly or annual, and whether the studio has audit rights. The quality control clause lets the licensor inspect operations to maintain brand reputation. The termination clause defines breach conditions, exit rights and dispute resolution. The renewal and transferability clause sets the renewal terms and whether the rights can be sold or transferred.

(b) The studio should apply the four strategic partner criteria: market access and reputation; financial and operational capabilities; cultural and regulatory alignment;

and a track record of compliance and performance. The course's evaluation tools for this are a SWOT or TOWS analysis and partner scorecards.

(c) For the licensor, licensing brings quick market entry, low financial risk and royalty revenue, but limited control over operations and a risk of brand dilution. The course lists five risks and their mitigations: IP misuse, met with strong legal agreements and monitoring; reputation damage, met with partner vetting and brand guidelines; quality control problems, met with clear standards and audits; loss of market control, met with exclusivity terms and joint reviews; and legal or compliance risk, met with local legal counsel and jurisdiction clauses. Disney shows the result of managing these well: it generated billions in revenue with minimal manufacturing risk and expanded into local markets through themed toys, school supplies and clothing, while maintaining strict quality and branding controls to protect its IP.

Marking points

- Identifies brand/merchandise licensing; links to Disney
- Eight core clauses applied to the scenario
- Four partner criteria and two evaluation tools
- Five risks each with its mitigation
- Disney outcomes used as support

Revise: The licensing agreement: eight core clauses, benefits and limits · Choosing a licensing partner and managing the risks · Two licensing cases: Disney and ARM Holdings

Q8

In master franchising, a franchisor gives one franchisee, the master franchisee, the right to develop and sub-franchise within a territory, usually a country or a large region. The master franchisee recruits and trains sub-franchisees, provides local support, ensures brand consistency and shares revenue with the franchisor. Subway, Baskin-Robbins and McDonald's in some markets use it. In India, Jubilant FoodWorks holds the master franchise rights for Domino's, is responsible for all stores and sub-franchisees, and its local adaptation led to successful expansion.

In area development, a franchisee receives the right to open and operate multiple outlets within a specific territory, such as a city, state or region, within a set timeframe. No sub-franchising is allowed and the franchisee owns and manages all outlets. It is common in early-stage international expansion and is used by Starbucks in selected markets and Domino's Pizza. In Thailand, CP All operates all

7-Eleven stores in a defined territory, which gives uniformity in management and growth pacing.

The comparison table sets out four differences: sub-franchise rights are allowed in master franchising but not in area development; investment scope is medium to high versus high; speed of expansion is faster versus slower; and control by the franchisor is lower versus moderate. The strategic considerations guide the choice: cultural alignment, because local partners must understand consumer behavior; the legal framework, to ensure contract compliance and IP protection; market maturity, since advanced markets may support area developers while emerging ones may need master franchising; and brand control, since more control often means slower expansion.

Marking points

- Both definitions
- Four rows of the comparison table
- Domino's India and 7-Eleven Thailand correctly matched
- Four strategic considerations

Revise: Master franchising versus area development · International franchise development: goals and four strategies

Q9

A franchise disclosure document (FDD) is a legal disclosure document, required in many countries such as the USA, that gives prospective franchisees key information about the franchisor and the franchise system. Its purposes are to protect prospective franchisees, to promote transparency and informed decision-making, and to comply with franchise laws and regulations. The course lists eight key sections: franchisor background; litigation history; initial and ongoing fees; estimated initial investment; obligations of the franchisee; territory rights; financial performance representations (earnings claims, if provided); and financial statements (audited reports of the franchisor). In the USA it must be provided at least 14 days before a franchise agreement is signed. The FDD is required in the USA (Federal Trade Commission), Indonesia (Ministry of Trade, Regulation No. 71/2019) and Australia (Franchising Code of Conduct); in the UK there is no specific law and disclosure is voluntary under the BFA.

Burgerim, a US-based fast-food franchise selling customizable mini-burgers, aggressively sold more than 1,500 franchise units between 2016 and 2019, including

to first-time business owners and military veterans. It failed to provide accurate and complete FDDs as federal law required, omitting financial performance data, realistic costs and failure rates, and the operating difficulties of prior franchisees, and it overstated earning potential, implying quick success. This violated the FTC Franchise Rule, which mandates full disclosure before signing. Numerous franchisees lost thousands of dollars, many without ever opening a restaurant; in 2021 the FTC sued Burgerim and its founder Oren Loni for deceptive business practices; and the company later filed for bankruptcy.

The case illustrates one of the four legal risks the course lists, misrepresentation in the FDD; the others are unclear territory boundaries, insufficient dispute resolution mechanisms and lack of enforcement in international jurisdictions. The course's mitigations are to consult legal experts, use standardized contract templates and follow country-specific disclosure rules.

Marking points

- FDD definition and three purposes
- Eight key sections and the 14-day rule
- Burgerim facts: omissions, overstated earnings, FTC Franchise Rule, outcome
- Four legal risks and three mitigations

Revise: The franchise disclosure document and franchise laws by country · Legal risks in franchising and the Burgerim case